

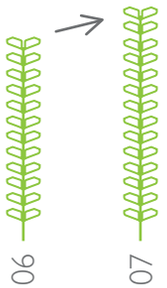
Continued **growth**…

2007 Annual Report

Grupo Bimbo in the world

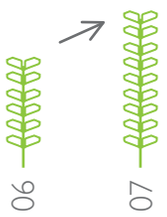
Net Sales
Mexico
(millions of pesos)

46,416 49,713
+7.1%



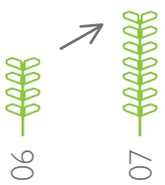
Net Sales
United States
(millions of pesos)

15,826 16,565
+4.7%



Net Sales
Latin America
(millions of pesos)

6,275 7,600
+21.1%





Company **Profile**

At Grupo Bimbo, we make the products people prefer and the brands consumers know.

We are the leading baking company in the Americas and one of the largest in the world. In 2007, we generated Ps. 72,294 million in net sales.

We have over 5,000 products and 100 well-known brands names, in categories such as bread, buns, cookies, cakes, pastries, sweet bread, packaged foods, tortillas, salted snacks and confectionary goods. Through continuous innovation, we are satisfying consumer tastes and enhancing the nutritional value of our product portfolio.

Our Group is comprised of more than 91,000 associates in 18 countries. We have one of the most extensive distribution networks in the world, with approximately 34,000 routes and more than one million points of sale.

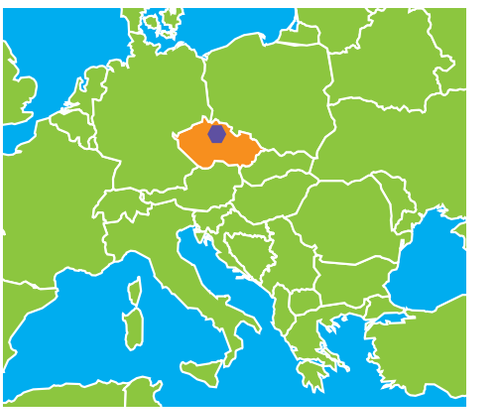
Grupo Bimbo's shares are traded on the Mexican Stock Exchange under the ticker symbol BIMBO.

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Presence of Grupo Bimbo in the world







MEXICO (cities)
Atitalaquia
Mexico City
Chihuahua
Cholula
Gómez Palacio
Guadalajara
Hermosillo
Irapuato
Leon
Matehuala
Mazatlán
Mérida
Mexicali
Monterrey
Puebla
San Luis Potosí
San Nicolás de los Garza
Tijuana
Toluca
Veracruz
Villahermosa
Zapopan

UNITED STATES (cities)
Abilene
Beaverton
Denver
Elk Grove
Escondido
Fort Worth
Grand Prairie
Houston
Lubbock
Montebello
San Antonio
San Francisco
Waco

LATIN AMERICA (countries)
Argentina
Brazil
Chile
Colombia
Costa Rica
El Salvador
Guatemala
Honduras
Nicaragua
Panamá
Paraguay
Perú
Uruguay
Venezuela

EUROPA (country)
Czech Republic

ASIA (country)
China

Divisions

Bimbo S.A. de C.V.

Headquartered in Mexico City. Produces packaged bread, sweet bread, buns, sponge cakes, pastries, cookies, tortillas, tostadas and cereal bars.

Principal brands are Bimbo, Marinela, Tia Rosa, Wonder, Milpa Real, Lara, Suandy, Lonchibon, Del Hogar, Monarca, Breddy, El Globo and El Molino.

Organizacion Barcel S.A. de C.V.

Headquartered in Lerma, State of Mexico. Produces salted snacks, confectionary goods, chocolates, goat milk caramel (cajeta), and gummy candies.

Principal brands are Barcel, Ricolino, Coronado, La Corona, Juicee Gumme and Park Lane.

Bimbo Bakeries USA, Inc.

Operates from Fort Worth, Texas. Produces packaged bread and pastries, buns, bagels, english muffins, sponge cakes, snack cakes, cookies, tortillas and prepared pizza dough.

Principal brands are Oroweat, Mrs Baird's, Bimbo, Entenmann's, Thomas', Tia Rosa, Marinela, Francisco, Old Country, Boboli and Weber's.

Organizacion Latinoamerica

Headquartered in Buenos Aires, Argentina. Main products are packaged bread and pastries, rolls, sponge cakes, cookies, snack cakes, alfajores, tortillas and prepared pizza dough.

Principal brands are Bimbo, Marinela, Pullman, Plus Vita, Ideal, Holsum, Trigoro, Pyc, Bontrigo, Cena and Fuchs.

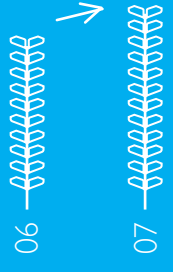
Organizacion Asia

Operating from Beijing, China under the Bimbo brand. Main products: packaged bread in such varieties as white, whole wheat, milk and corn, as well as pastries. To satisfy the new and exotic asian palate, new products developed include rolls filled with sweet beans and bread filled with spicy meat.

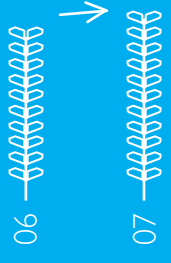
Financial **Highlights**

	2006	**2007**	%
Total Assets	43,939	**45,243**	3.0%
Total Liabilities	18,973	**16,746**	-11.7%
Stockholders´ Equity	24,966	**28,497**	14.1%
Net Debt / EBITDA	0.37	**0.23**	-36.6%
Net Debt / Stockholders´ Equity	0.12	**0.07**	-40.8%
ROA	8.4%	**8.4%**	0.5%
ROE	14.7%	**13.4%**	-9.3%
ROIC	11.7%	**13.0%**	11.1%
Earnings per share (pesos)	3.21	**3.33**	3.7%
Total shares outstanding (´000s)	1,175,800	**1,175,800**	-
Share price at the year-end (pesos)	53.64	**65.05**	21.3%

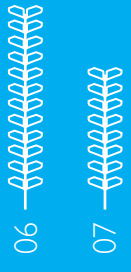
Operating Income
(millions of pesos)
6,091 6,408
+5.2%



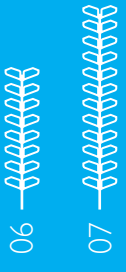
Earnings per Share
(millions of pesos)
3.21 3.33
+3.7%

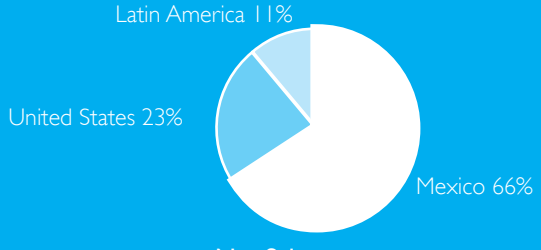


Net Debt / Stockholders´ Equity
(times)
0.12 0.07

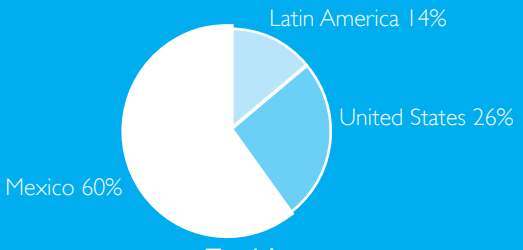


ROIC
(%)
11.7 13.0





Net Sales



Total Assets

…our strategy for the path ahead.

Our Strategies

1

Product Strategy

Develop products that customers prefer, utilizing our deep consumer understanding and advanced R&D capabilities.

2

Brand Strategy

Create unique and differentiated product positioning; leverage our brands as a platform for innovation.

3

Market Penetration Strategy

Expand the distribution network via segmentation; foster client success through efficient execution at the point of sale.

4

Margin Enhancement Strategy

Maintain a permanent focus on profitability.
Increase efficiencies through technology and scale.
Optimize the point of sale.

5

Acquisition Strategy

Identify regional opportunities with complementary brands and products, whose integration will leverage our assets.

6

Talent Development Strategy

Identify, cultivate and encourage the development of the next generation of leadership.

We know there are challenges on the path ahead, but are confident that these strategies will enable us to become the world leader in the baking industry and one of the best food companies in the world.

Letter from the **Chairman of the Board**

"Our operations in China have more than doubled, and a spectacular effort has been made to introduce the brand and image of the Group, with remarkable results."

I am once again pleased to report that the results of the Group during 2007 were very good.

Consolidated sales rose to $ 72,294 million, 8.2% greater than in the previous year.

Net income was $3,811 million, 3.5% greater than in 2006.

Once again, all divisions were profitable, and of particularly note were the important improvements in Central and South America, where eight small acquisitions, including new operations in Panama and Paraguay, we made at a value of US$ 49 million.

In Mexico, a 50% partnership was formed with Galletas La Moderna.

Our operations in China have more than doubled, and a spectacular effort has been made to introduce the brand and image of the Group, with remarkable results.

I believe it is important to report that our plans to acquire the largest baking company in the United States (IBC) were not carried out because our findings in the due diligence period concluded that the operational, labor and financial conditions of the company made the economic viability highly unlikely. Given the large significance of the operation, we remain open to any possibility.

Similarly, we are very open to taking advantage of opportunities to expand our international operations.

As of December 31, 2007 we had 77 plants in operation and a workforce of 91,289 associates.

Two matters that required our attention were related to the rise in prices of a number of raw materials, and the new tax regulations.

During the year, we saw goals that had been established during the lengthy reorganization process of previous years become reality. A leaner and more functional organization was achieved. The corporate offices of BBU and Organización Latinoamérica were consolidated in Fort Worth and Buenos Aires respectively, and an efficient Shared Services Center is operating in Mexico City.

Independently from the everyday efforts to improve the quality of our products and services and the expansion of our activities, we have worked intensively on caring for the environment.

In parallel, the work carried out by our Association "Reforestamos Mexico" is being driven forward, and its achievements give us satisfaction.

As in previous years, the Group's Share Repurchase Plan was not active in 2007.

In addition, the Board of Directors approved the management for the 2007 fiscal year as well as the report of the Board of Directors. The Board's approval is based on the opinion of our external auditors, and the Board believes that the financial statements of the Group were prepared in accordance with Mexican financial reporting standards; policies and accounting standards were consistently applied and in a manner appropriate to the circumstances of the

Group; and that the financial information reasonably reflects the financial position and results of the Company.

Along with this report, we present to the Shareholders' Meeting the reports of the Audit Committee, the Corporate Practices Committee and the Chief Executive Officer, as well as a report on compliance with the company's tax obligations.

As in previous years, the Board I chair appreciates the efforts undertaken by management, all the Group's associates, unions and the shareholders who have supported us at all times.





Roberto Servitje.
President of the Board
April 9, 2008.

CEO'S Letter

"The strength of our Group's product portfolio and market diversification, combined with the ongoing investments that have been made in technology and distribution, will enable us to forge a path of continued growth."

In an environment of economic volatility and rising raw material costs, we are particularly pleased with the 8.2% gain in consolidated net sales in 2007, and for maintaining margin stability at the same time. The growth of the Group has consistently outpaced that of the markets, generating solid returns for shareholders as a result. This gives me confidence that we will be able to achieve our vision for 2010, of being the world leader in the baking industry and one of the best food companies in the world.

Some of the highlights of 2007 include:

- Better execution at the point of sale of our brands.
- 2,200 new distribution routes.
- 8 acquisitions and a partnership in the cookie business.
- First entry into Paraguay, bringing our global presence to 18 countries.
- The opening of a new confectionary plant in Mexico with our joint venture partner Arcor.

Our solid performance in the year was the result of various factors such as higher sales volume, a better sales mix, pricing actions taken to offset the strong escalation in raw material costs, and greater operating efficiency, among others.

These factors showcase the strength of our business strategy, which is based on an unwavering commitment to product innovation, brand leadership and distribution strength, backed by a permanent focus on efficiency and productivity, specific efforts to enhance the profitability of our international operations, the ability to take advantage of targeted acquisition opportunities, and dedication to our core value, the person, through the holistic development of the associates who make up the company.

We recognize there are challenges ahead. In 2008, strong pressure is expected to remain in raw materials, particularly given the historic level of wheat prices today, while short-term economic contraction could impact consumer spending in some markets. We believe the Group's product strength and market diversification, combined with the benefits generated by investments in technology and distribution, will allow us to forge a path of continued growth for the benefit of stakeholders and the communities where we operate.

In Mexico, where our Group has more than 60 years of leadership, distribution efficiencies and continued penetration of the non-traditional channel will support growth. In the United States, we expect broader market reach, stronger channel relationships, and portfolio optimization. In Latin America, where there is still tremendous opportunity, our efforts to expand and increase the scale of the operation will drive our growth.

In this report, we outline the core growth strategies and highlight examples of our

efforts. I also invite you to read the Social Responsibility Report, which was developed to ensure that all those who are close to the Group see themselves as part of this goal we have sought since the founding of the company, and to which we continue to commit ourselves every day.

In closing, I wish to thank all our associates, partners and stakeholders in joining us on our path of continued growth.



Daniel Servitje.
Chief Executive Officer
April 9, 2008.

1 Product Strategy

We develop tasty, healthy and innovative products. Our category leadership reflects successful new launches and a commitment to the products consumers love.



Millions of people who enjoy our products each day count on them for quality, consistency and taste.

With more than 5,000 items in our portfolio, we always have something for every taste and every occasion.

At the heart of the company lies a tradition of baking: packaged breads, sweet breads, buns, pastries and cookies comprise an important part of our portfolio. The salted snack and confectionary categories have grown importantly in recent years, while corn and wheat flour tortillas complement bread as a consumer staple in some of our markets.

The millions of people who enjoy our products each day count on them for quality, consistency and taste. The success lies in staying attuned to consumer tastes and trends. That means enhancing the nutritional value of our products and introducing new, healthy options. In this regard, we follow the guidelines of the World Health Organization on reducing fat, salt and sugar content, and decreasing portion sizes.

We are also innovating by adding functional ingredients to numerous products, for example to lower cholesterol or enhance mineral absorption. We have created a range of products with less than 100 calories each; and just as importantly, we are investing in mass-market educational campaigns to encourage active, healthy lifestyles.

We believe healthy products can also taste great and sometimes even have a hint of indulgence. For example, in 2007 we introduced the Double Fiber Chocolate bar made with Bi-O-fiber, an exclusive combination of wheat fiber and oat fiber, mixed with a delicious chocolate flavor. Wheat fiber can help the digestive system to function optimally, while oat fiber contributes to a sensation of being full and can help regulate levels of blood cholesterol and glucose.

Behind our product development strategy is world-class research and development team, which has the support and collaboration of Innovation and Nutrition Institutes in each of the markets where we operate. At Grupo Bimbo, we believe that scientific knowledge and progress allow us to design and offer better options for our consumers.

This is reflected in more than 150 new products launched in 2007, including such successes as:

Oroweat Double Fiber

Oroweat Mini Loaf 100% Wheat



Cereal bars represent a strategic growth category; Grupo Bimbo entered the market in 2002.

CASE STUDY

"Oroweat: Bread Perfected"

Oroweat has provided premium breads and is the top-selling brand in the Group's operations distributed in the West Coast. Longer baking and lower temperatures ensure that each package of sliced bread, buns, rolls, bagels and muffins achieves a better texture and flavor.

Oroweat introduced whole grain products decades before it was trendy, and in 2007 we were once again on the forefront of innovation. Launches this year included Double Fiber, Whole Grain & Flax and Whole Grain & Oat breads. We recently introduced the brand to consumers in Mexico and plan at Organización Latinoamérica launch in 2008.



Ricolino Pikaros
Bimbo Pan Integral
Marinela Mini Rocko
Bimbo Bimboletas
Barcel Chips Paraiso

Each of our products is targeted at a specific consumer segment and satisfies a specific consumption scenario.

In some categories, such as cereal and snack bars, we have a number of product lines to satisfy the broad range of needs we have identified. Along with the aforementioned Double Fiber bars, there is PlusVita, with less than 100 calories and low in sodium; Natura, with whole grains and 100% natural ingredients; Bran Frut, filled with real fruit. Multigrano, a vitamin fortified combination of wheat, barley, rye, oat and sunflower seeds, ingredients fortified with vitamins.



Bran Frut product line, a vitamin fortified, fruit-filled bar available in four flavors.

2 Brand Strategy

We forge life-long relationships with our consumers.
For consumers who have grown up with our brands, loyalty runs deep. We seek to build a personal connection with new generations and markets through unique and differentiated positioning.



Promotional campaigns ran more than 4 weeks and generated higher than average volumes.



Grupo Bimbo has a strong track record in creating, nurturing and managing successful brands, reflecting a Deep Consumer Understanding backed by ongoing research and testing.

The diversification strategy helps reach broad segments of the market. As a result, our portfolio spans a wide spectrum of product options: wholesome, indulgent, healthy and premium, among many others. Each brand is targeted to a specific audience and supported by a comprehensive marketing plan.

Of our 25 top-selling brands, 10 hold the number one or two positions in their respective markets. Some of our brands have developed into true icons, such as the Bimbo bear, Gansito goose and Paleta Payaso clown, recognizable to millions of consumers.

Because our brands are an essential component of the company's growth strategy, we invest significant resources in them, as we would in any of our assets, to enhance and protect their value. Brand-building efforts are carefully calibrated to enhance long-term positioning.

Many generations of consumers have grown up with our products and trust us to fulfill their expectations with each purchase. The brands serve as a solid platform for innovation to develop new lines or entire



In 2007, we successfully launched PlusVita 100-calorie bars in Mexico, one of the Group's local brands from Brazil.



The Gansito goose evokes happy memories of childhood for millions of consumers.

CASE STUDY

Bimbo in China

We introduced our cherished Bimbo bear to China as part of a large-scale branding and marketing campaign in support of multiple product launches. Consumer response to western-style breads and baked goods has been very positive.



Product Portfolio from Bimbo Beijing, maize sliced bread and whole wheat sliced bread chocolate flavor.



new categories, as we have done with cereal bars, beverages and peanuts in recent years.

In 2007, one such brand extension was in Mexico and Central America for Paleta Payaso, the popular children's confection with marshmallow covered in chocolate and a gummy. We successfully launched Chocremoso Payaso spread, a creamy chocolate with the signature Paleta Payaso flavor, and Chocolate Payaso powder for making chocolate milk.





We seek to build a personal connection with new generations.

3 Market Penetration **Strategy**

Reaching more consumers every day.
The distribution network is growing via segmentation and expansion of the sales channels. Because our clients' success is vital, above all we focus on category management and point of sale efforts.



Our fastest growing channel in Mexico is the non-traditional segment, which includes vending machines, institutional foodservice, schools, restaurants and hotels.

We added more than 100 thousand new clients and 2,200 routes in 2007, making Grupo Bimbo's distribution network one of the largest in the Americas, with more than one million points of sale.

To meet the specific needs of each segment, we employ a wide range of analytical tools to segment regions by channel, size, brand and even product. This includes round-the-clock deliveries and nighttime stocking for large national clients, support for small store owners in the areas of merchandizing and shelf space management, and differentiated product offerings to distinguish the channels, as well as pre-sales and onsite sales. In short, by aligning our clients' success with our own, we improve our ability to leverage market opportunities. Highlights from 2007 include:

MEXICO

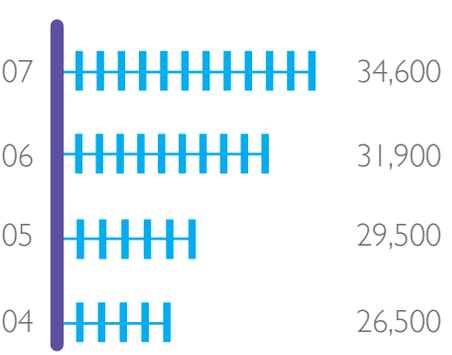
Our client base grew in every segment, including supermarkets, big box retailers and small stores. We also continued to focus on greater penetration of the mom & pop channel via secondary segmentation, and on the non-traditional segments, which generated the highest rate of growth in the year.

UNITED STATES

Important advances were made in all channels. We leveraged our Deep Consumer Understanding of the convenience store segment in Mexico to penetrate this channel in the United States, and expanded our routes dedicated to brands targeted at Hispanic consumers. Our category management practices received broad recognition from a number of retailers.



Growth in the number of distribution routes



CASE STUDY

Category management helps clients succeed

Our category management practices are recognized for increasing shelf-space productivity. In 2007, Target Corporation named Bimbo Bakeries USA "Vendor of the Year" in the delivery category for solid business practices and commitment to the strategies of Differentiation, Value and Reliability.



LATIN AMERICA

The client base has grown by double digits in the last two years. In 2007 alone, we added 77,000 new points of sale. The primary focus has been on the traditional mom & pop channel and training the sale force on point-of-sale materials and displays. In some markets, independent micro-distributors are utilized to more profitably reach smaller or remote locations.



Variety of products launched by Organización Latinoamérica in 2007.

4

Margin Enhancement **Strategy**

Creating value through greater efficiency.

To enhance and sustain value over the long-term requires growth not only in our scale and reach, but also that we maintain a permanent focus on enhancing operational productivity.



Our return on invested capital (ROIC) compares favorably with the industry average.

The expansion of the Group's operations has generated important economies of scale in production and distribution, as well as cross-market knowledge and synergies. Better utilization of our assets is one way in which we seek to strengthen profitability. Other efforts include:

PRICING ACTIONS

Taken primarily to offset higher raw material costs and inflationary pressures, as was done across all our operations in 2007, pricing actions are calibrated by brand, channel and market.

SALES MIX

The information generated by our sales force, combined with data mining and forecasting technology has enabled us to significantly improve execution at the point of sale. More accurate and timely drop sizes and better inventory management make the sales mix more profitable. By ensuring that each channel receives the right products, packaging and prices for their needs, our clients see a strong benefit as well.

PRODUCTION EFFICIENCIES

The focus on the most profitable SKUs allows us to better utilize productive assets. In 2007, we reallocated some production lines in our operations.

DISTRIBUTION EFFICIENCIES

Despite the important expansion of routes and clients in 2007, distribution expenses as a percentage of sales declined in the year. Aside from higher volumes and prices, this reflects better utilization of truck space in terms of both physical usage and the sales mix by channel segmentation, and a greater number of distribution centers and "Enlace" docking stations.

PRODUCT AND PACKAGING INNOVATION

We have successfully diversified our product portfolio, providing consumers with a full range of offerings from premium to staple. Our research and development teams are constantly searching for ways to reformulate products, while maintaining the same



New confectionary plant, Mundo Dulce at Toluca, is handled with our Argentine partner, Arcor.

CASE STUDY
Generating economies of scale

The significant growth of our Latin American operations has enabled us to spread fixed costs over a much larger base. In 2007, despite higher raw materials costs and the addition of 77,000 new customers, we generated a 2.6 percentage point improvement in the operating margin.



taste and quality. These efforts, combined with packaging efficiencies such as lighter materials and alternative portion sizes, help reduce unit costs.

SHARED SERVICES

We have completed the migration of multiple administrative functions into a shared services center, based in Mexico. Other synergies derived from the Group structure include research and development, systems and product development.

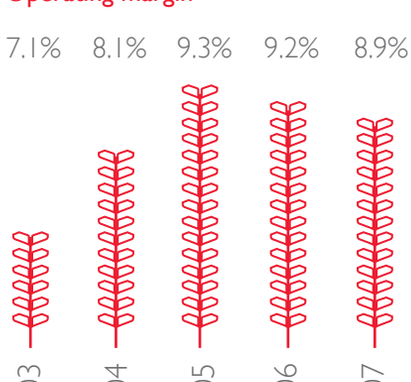


Associates from Organización Latinoamérica.



The migration of multiple administrative functions into a shared services center.

Operating margin



5

Acquisition Strategy

Identifying new opportunities for growth.
Acquisitions enable us to expand the product portfolio with new brands and categories, and to enter new markets and regions that offer significant growth opportunities.

Acquisitions have played an important role in the Group's growth to date. From our entry to the United States and China, to the addition of brands such as La Corona, Plus Vita and Panrico, we have benefited importantly from the integration of new products and markets into the Group.

We have clear criteria for such acquisitions: regions and segments that provide a platform for growth; strong brands that are complementary with our existing portfolio; and lastly, scalability that will allow for cost savings.

In 2007, we made eight such acquisitions, all in Latin America, adding assets in Chile, Panama, Peru, Uruguay and Brazil. We also entered Paraguay for the first time by purchasing a local bread company. Net sales generated by these companies added 4.2 percentage points of the 21.1% growth registered in the region during the year.

We will continue to seek attractive acquisition opportunities in all our regions to strengthen the company's market profile, generate additional economies of scale, and create a platform for long-term growth.

Acquisitions contribute to our sales performance each year. The successful integration of new operations provides an important platform for continued growth.

6

Talent Development **Strategy**

Promoting the development of our associates.
The priority of Grupo Bimbo is to support the personal and professional development of its associates, as well as to enhance their skills and creativity and to encourage their holistic growth. This has been a value of the Group since its founding.

With more than 90,000 associates, the performance management and compensation systems are geared to identifying, cultivating, and motivating the next generation of the Group's leaders.

Approximately 60 people complete our executive leadership program each year. We also support academic and professional development on a broader scale, by helping factory associates obtain their high school diplomas, providing technical training to mid-level associates, and offering tuition support and English language instruction at all levels of the organization.

These initiatives are highly valued within the Group, ensuring that creativity and innovation flourish within a framework of accountability. We also promote knowledge sharing across the organization.

We are pleased to have been rated one of the 10 great places to work in Mexico by "Top Companies" and Expansión magazine. This strengthens our commitment to move forward in the continued effort of being a highly productive and people-oriented company.

Cross-divisional and cross-functional teams help tackle challenges in new ways.



Corporate Governance

Bolstering the Confidence of our Investors

Throughout its development, Grupo Bimbo has worked on the basis of ethical business principles. Grupo Bimbo follows the Code of Best Corporate Practices, an initiative of the Mexican Stock Exchange (BMV) which establishes the bases of corporate governance for companies operating in Mexico, particularly those listed on the BMV, and provides firm support for investor confidence.

At Grupo Bimbo, these principles for sound business management are applied through our Board of Directors, one of whose duties is to help management define policies and strategies and to recommend ways to make the company more efficient, for the benefit of its shareholders. It also participates in decisions on the effective allocation of the Group's resources, particularly on the purchase or sale of productive assets.

STRUCTURE OF THE BOARD OF DIRECTORS

The Board of Directors of Grupo Bimbo is comprised of 18 directors and 18 alternates directors, ratified at the Shareholders' Meeting on April 19, 2007.

To perform its duties, the Board relies on the support of four governance committees.

AUDIT COMMITTEE

Integrated only by Independent Directors, its main job is to verify that the operation of Grupo Bimbo is carried out pursuant to the applicable regulations, having the authority to evaluate and supervise the activities of the management related to the compliance of accounting policies and practices, the performance of the external and internal auditors of Grupo Bimbo; investigate violations to the policies of internal control and internal audit, and evaluate the policies for risk management, among others. Likewise, the Audit Committee issues opinions on any material changes in the accounting policies, criteria and practices applied in the preparation of the financial statements of Grupo Bimbo, and on matters regarding the execution of material or uncommon transactions.

CORPORATE PRACTICES COMMITTEE

Pursuant to the provisions of the Securities Law, as amended on December 2005, the Board of Directors of Grupo Bimbo incorporated a new committee to carry out the activities of corporate practices. Integrated only by Independent Directors, such Committee has the authority to issue opinions on transactions with related parties, opinions regarding the appointment, evaluation and destitution of the Chief Executive Officer and relevant officers of the company, as well as regarding the integral compensation of the CEO and the relevant officers of Grupo Bimbo.

EVALUATION AND RESULTS COMMITTEE

This committee has the authority to analyze and approve the general structure of compensation of Grupo Bimbo as well as the policies and guideline for the compensation and development programs of the officers of Grupo Bimbo and its subsidiaries. Also, the committee has the authority to analyze the financial results of Grupo Bimbo and its impact in the general compensation structure of the Group.

FINANCE AND PLANNING COMMITTEE

This committee is responsible for analyzing and submitting to the consideration of the Board of Directors, the evaluation of long-term strategies and investment and financing policies for Grupo Bimbo, and identify risks and evaluate risk management policies.

CODE OF ETHICS

In addition to these policies and committees, Grupo Bimbo has self-regulatory rules that govern our business practices, like our own code of ethics that covers general aspects and policies for interacting with the various groups around us:

With our associates, to guarantee respect for their dignity and individuality and to ensure a workspace environment that promotes their well-being and development.

With our shareholders, to provide them with a reasonable profit on a sustained basis.

With our suppliers, to maintain cordial relations and encourage their development.

With our customers, to provide exemplary service and to support them in their growth and development through the value of our brands.

With our competitors, to compete vigorously and fairly, on the basis of the fair business practices.

With consumers, to guarantee healthy foods and a wide variety of products, by continually innovating and improving them.

With society at large, to promote universal ethical values and support the economic and social growth of the communities where we operate.

CONFLICTS OF INTEREST

Internally, in order to avoid conflicts between the personal interests of our associates and those of the company, and to establish a solution to such conflicts if necessary, all our associates are responsible for declaring any financial or non-financial interest they may have that might enter into conflict with their duties at Grupo Bimbo.

In the case of our executives and directors, we have a clearly defined policy on conflict of interest, which includes the annual completion of a special from for this purpose. Any violation of this policy is considered grounds for termination.

Board of **Directors**

	Board Members	Alternative Members
PR	Roberto Servitje	Jaime Chico
I	Henry Davis	Paul Davis
I	José Antonio Fernández	Javier Fernández
I	Arturo Fernández	Alejandro Hernández
I	Ricardo Guajardo	Anthony McCarthy
I	Agustín Irurita	José Manuel Irurita
PR	Luis Jorba	Jaime Jorba
PR	Mauricio Jorba	Ramón Pedroza
PR	Francisco Laresgoiti	María del Pilar Mariscal
R	Fernando Lerdo de Tejada	Francisco Laresgoiti
PR	José Ignacio Mariscal	Raúl Obregón
PI	María Isabel Mata	Javier de Pedro
PR	Víctor Milke	Víctor Milke
PR	Raúl Obregón	Nicolás Mariscal
PR	Roberto Quiroz	Rosa María Mata
I	Alexis E. Rovzar	Vicente Corta
PR	Lorenzo Sendra	Jorge Sendra
PR	Daniel Servitje	Pablo Elizondo
	Chairman Roberto Servitje	Alternate Chairman Daniel Servitje
	Secretary Luis Miguel Briola	Alternate Secretary Pedro Pablo Barragán

PR Patrimonial Related
PI Patrimonial Independent
I Independent
R Related

Governance **Committees**

Audit Committee	Corporate Practices Committee	Evaluation and Results Committee	Finance and Planning Committee
Chairman	Chairman	Chairman	Chairman
Henry Davis	Ricardo Guajardo	Raúl Obregón	José Ignacio Mariscal
Arturo Fernández Agustín Irurita Alexis E. Rovzar	Henry Davis José Antonio Fernández	Javier de Pedro José Antonio Fernández Roberto Quiroz Daniel Servitje Roberto Servitje	Ricardo Guajardo Mauricio Jorba Víctor Milke Raúl Obregón Lorenzo Sendra Daniel Servitje Guillermo Quiroz

Management **Committee**



Daniel Servitje
Chief Executive Officer, Grupo Bimbo
Joined Grupo Bimbo in 1978; obtained a bachelor's degree in Business Administration from Universidad Iberoamericana and an MBA from Stanford University. Member of the Board of Directors of Coca-Cola FEMSA, Grupo Financiero Banamex and Grocery Manufacturers of America.
49 years old.

Pablo Elizondo
President, Bimbo S.A. de C.V.
Joined Grupo Bimbo in 1977; studied Chemical Engineering. Vice Chairman of the Board of CONMEXICO.
54 years old.
* As of 2008, becomes Senior Executive Vice-President, Grupo Bimbo

Reynaldo Reyna
President, Bimbo Bakeries USA, Inc.
Joined Grupo Bimbo in 2001; studied Industrial and Systems Engineering and obtained a masters' degree in Operations Analysis and Finance from the Wharton School.
52 years old.

Javier Augusto González
President, Barcel, S.A. de C.V.
Joined Grupo Bimbo in 1977; holds a degree in Chemical Engineering and an MBA from Universidad Diego Portales in Chile.
52 years old.
* As of 2008 becomes President, Bimbo S.A. de C.V.

Alberto Díaz
President, Organización Latinoamérica
Joined Grupo Bimbo in 1999. Studied Industrial Engineering and obtained a master's degree in Management from the University of Miami.
52 years old.

Rosalío Rodríguez
Corporate President, Grupo Bimbo
Ingresó a Grupo Bimbo en 1976, estudió la carrera en Ingeniería Bioquímica. Pertenece al consejo del Internacional Life Science Institute, Quality Bakeries of America, American Institute of Baking y al Consejo de Beta San Miguel.
Tiene 55 años de edad.
* As of 2008, becomes Chief Commercial Officer, Bimbo S.A. de C.V.

Guillermo Quiroz
Chief Financial Officer, Grupo Bimbo
Joined Grupo Bimbo in 1999. Obtained a degree in Actuarial Studies and an MBA from IPADE. Member of the Board of Directors of Grupo Altex and Fincomun.
54 years old.

Javier Millán
Chief Human Relations Officer, Grupo Bimbo
Joined Grupo Bimbo in 1977. Studied Philosophy and Business Administration. Board Member of the Asociación Mexicana en Dirección de Recursos Humanos. Chairman of Reforestamos México, A.C.
59 years old.

Gabino Gómez
Chief Commercial Officer, Bimbo, S.A. de C.V.
Joined Grupo Bimbo in 1981; obtained a bachelor's degree in Marketing and a masters' degree in Business Administration. Member of the Executive Board of ConMéxico and member of the Food Group.
48 years old.
* As of 2008, becomes President, Barcel, S.A. de C.V.

Board of Directors' **Profiles**



Standing from left to right: Luis Miguel Briola (Secretary), Arturo Manuel Fernández, Ricardo Guajardo, Luis Jorba, Ramón Pedroza (alternate).
Seating from left to right: Francisco Laresgoiti, Javier de Pedro (alternate), José Ignacio Mariscal and Fernando Lerdo de Tejada.

Arturo Manuel Fernández
Rector, Instituto Tecnológico Autónomo de México (ITAM)
Board member of:
Industrias Peñoles S.A.B. de C.V.
Grupo Nacional Provincial, S.A.B. de C.V.
Grupo Palacio de Hierro, S.A.B. de C.V.
Valores Mexicanos, Casa de Bolsa, S.A.B. de C.V.
Crédito Afianzador, S.A.
Grupo Financiero BBVA Bancomer.
Grupo Fomento Económico Mexicano, S.A.B. de C.V.

Ricardo Guajardo
Chairman, BBVA U.S.A.
Chairman, SOLFI, S. A. de C.V. (Soluciones Financieras)
Board member of:
Grupo Financiero BBVA Bancomer.
Instituto Tecnológico y de Estudios Superiores de Monterrey.
Grupo Fomento Económico Mexicano, S.A.B. de C.V.
Coca-Cola FEMSA S.A.B. de C.V.
Grupo Industrial Alfa.
El Puerto de Liverpool.
Grupo Aeroportuario del Sureste, S.A.B. de C.V.
Grupo Coppel

Luis Jorba
Chief Executive Officer, Frialsa Frigoríficos
Chairman, Efform, S.A. de C.V.
Board member of:
Texas México Frozen Food Council.
International Association of Refrigerated Warehouses.
World Food Logistics Organization.

Mauricio Jorba
Chief Executive Officer, European Operations
Board member of VIDAX

Francisco Laresgoiti
Chief Executive Officer, Grupo Laresgoiti
Board member of:
Fundación Mexicana para el Desarrollo Rural, A.C.
Grupo Financiero Aserta, S.A.

María Isabel Mata
Board member of Administration of Tepeyac, A. C.

José Ignacio Mariscal
Executive Chairman, Grupo Marhnos
Chairman, Uniapac Internacional
Chairman, Comité por Una Sola Economía del CCE (Consejo Coordinador Empresarial)
Vice Chairman, Fincomún-Servicios Financieros Comunitarios
Vice chairman, Fundación Juan Diego
Board member of:
Sociedad de Inversión de Capital de Posadas de México.
Grupo Calidra.
Comisión Ejecutiva de la Confederación USEM.
Comisión Ejecutiva y Consejo Directivo de Coparmex.
Instituto Mexicano de Doctrina Social Cristiana.

Fernando Lerdo de Tejada
Chairman and Chief Executive Officer, Estrategia Total, S. C.
Member of the Executive Committee of the Consejo Nacional Agropecuario

Roberto Quiroz
Chairman and Chief Executive Officer, Grupo Industrial Trébol
Board member of:
Grupo Valacci, S. A. de C.V.
Grupo Altex, S. A. de C.V.
Grupo Invermat, S. A. de C.V.
Grupo Financiero Banamex
Tepeyac, A.C.

José Antonio Fernández
Chairman and Chief Executive Officer, Grupo Fomento Económico Mexicano, S.A.B. de C.V.
Chairman, Coca-Cola FEMSA, S.A.B. de C.V.
Co-Chairman, Woodrow Wilson Center Mexico Institute
Vice Chairman, Instituto Tecnológico y de Estudios Superiores de Monterrey
Board member of:
Grupo Financiero BBVA Bancomer
Industrias Peñoles
Grupo Televisa
Volaris



Standing from left to right: Roberto Quiroz, José Antonio Fernández, Alexis E. Rovzar, Víctor Milke.
Seating from left to right: Daniel Servitje, Roberto Sevitje, Lorenzo Sendra, Henry Davis, Raúl Obregón y Agustín Irurita.

Alexis E. Rovzar
Executive Partner, Latin American Practice, White & Case, LLP
Board member of:
Coca-Cola FEMSA, S.A.B. de C.V.
Grupo Fomento Económico Mexicano, S.A.B. de C.V.
Grupo ACIR.
Grupo COMEX.
Ray & Berndtson de México.
The Bank of Nova Scotia.

Víctor Milke
Chief Executive Officer, Corporación Premium S. C.
Board member of:
Nacional Financiera de la Ciudad de México.
Congelación y Almacenaje S.A.
Frialsa, S.A. de C.V.

Daniel Servitje
Chief Executive Officer, Grupo Bimbo, S.A.B. de C.V.
Board member of:
Coca-Cola FEMSA, S.A.B de C.V.
Grupo Financiero Banamex, S.A. de C.V.
Grocery Manufacturers of America (EUA).

Roberto Servitje
Chairman, Grupo Bimbo
Board member of:
Fomento Económico Mexicano, S.A.B. de C.V.
Chrysler de México, S.A. de C.V.
Grupo Altex, S.A. de C.V.
Escuela Bancaria y Comercial.
Memorial Hermann International Advisory Board (Houston, Texas).
Grupo Aeroportuario del Sureste, S.A.B. de C.V.

Lorenzo Sendra
Chairman of the Board of Directors, Proarce, S. A. de C.V.
Board member of:
Fundación Ronald McDonald.
Fomento de Nutrición y Salud.
Fundación Mexicana para el Desarrollo Rural, A.C.
Financiera Promotora para el Desarrollo Rural (FIMEDER).

Henry Davis
Chairman, Promotora DAC, S. A.
Board member of:
Grupo Financiero IXE, S.A. de C.V.
Grupo Aeroportuario del Pacífico, S.A. de C.V.
Kansas City Southern.

Raúl Obregón
Managing Partner, Estrategia y Gobierno Corporativo, S. C.
Managing Partner, Proxy Gobernanza Corporativa, S. C.
Board member of:
Industrias Peñoles S.A.B. de C.V.
Grupo Palacio de Hierro S.A.B. de C.V.
Envases y Laminados S.A. de C.V.
Grupo Invermat, S.A. de C.V.
Altamira Unión de Crédito S.A. de C.V.
Comercializadora Circulo CCK, S.A. de C.V.
Alternate board member of:
Grupo Profuturo S.A.B. de C.V.
Grupo Nacional Provincial, S.A.B. de C.V.
Valores Mexicanos, Casa de Bolsa, S.A.B. de C.V.
Crédito Afianzador S.A.

Agustín Irurita
Chairman, Grupo ADO.
National Advisor and Executive Committee Member of the Confederación Patronal de la República Mexicana (COPARMEX).
Board member of:
Cámara Nacional de Autotransporte de Pasaje y Turismo (Consejero Vitalicio).
Grupo Comercial Chedraui, S.A. de C.V.
FinComún Servicios Financieros Comunitarios, S.A. de C.V.
Afianzadora Aserta, S.A. de C.V.

Advisory **Board**

BBU

Ambassador, Jeffrey Davidow
President, Institute of the Americas
La Jolla, CA

Henry Davis
Chief Executive Officer of Promotora DAC, S.A. de C.V.
(Former CEO of Wal-Mart Mexico)
Mexico City

Bernard Kastory
Professor at New York University
(Former Bestfoods EVP)
Saratoga Springs, NY

Jose Ignacio Mariscal
Chief Executive Officer of Grupo Marhnos, S.A. de C.V.
Mexico City

Robert C. Nakasone
(Former Jewel EVP and CEO of Toys R Us)
Santa Barbara, CA

Betsy Sanders
Principal, The Sanders Partnership
Sutter Creek, CA

Roberto Servitje
Chairman of the Board, Grupo Bimbo

OLA

João Alves
Chairman of the Board of Monte Cristalina S.A.
São Paulo, Brazil

Carlos Mario Giraldo
Chairman of the Board of Compañía de Galletas Noel S.A.
Marketing and Executive Vice Chairman of Inversiones
Nacional de Chocolates S.A.
Medellin, Colombia

Victor Milke
Chief Executive Officer of Corporación Premium, S.C.
Mexico City

Luis Pagani
President of Grupo Arcor
Buenos Aires, Argentina

Leslie Pierce
General Manager of Alicorp S.A.
Lima, Peru

Lorenzo Sendra
Chairman of the Board of Proarce S.A. de C.V.
Mexico City

Eduardo Tarajano
Private Investor
Key Biscayne, Florida

Roberto Servitje
Chairman of the Board, Grupo Bimbo

Audit
Committee's Letter

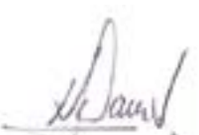
Mexico, D. F., March 13, 2008.

To the Board of Directors of Grupo Bimbo, S. A. B. de C.V.

In my capacity as Chairman of the Audit Committee (the "Committee") of "Grupo Bimbo, S. A. B. de C. V.," (the "Company") and in compliance with the provisions of paragraph e), section II of Article 42 of the Securities Market Act, I am submitting herewith the opinion of the Committee with respect to the contents of the report of the Chief Executive Officer in relation to the financial position and results of the Company for the year ended on December 31, 2007.

In the opinion of the Committee, the accounting policies and criteria followed and the information presented by the Company and included in the preparation of the consolidated financial information are adequate and sufficient and were applied in a consistent manner and in accordance with the Mexican Financial Reporting Standards. Accordingly, the consolidated financial information presented by the Chief Executive Officer reasonably reflects the financial position and results of the company at December 31, 2007.

Sincerely,



Henry Davis Signoret
Chairman of the Audit Committee of
Grupo Bimbo, S. A. B. de C.V.

Audit
Committee Report

México, D. F., March 13, 2008

To the Board of Directors of Grupo Bimbo, S. A. B. de C.V.

In compliance with the provisions of Articles 42 and 43 of the Securities Market Act, the bylaws of the Company and the regulations of the Audit Committee, I am pleased to report to you on the activities conducted by the Audit Committee during the year ended December 31, 2007. In conducting our work we have taken into consideration the recommendations established in the Code of Best Corporate Practices. We met at least quarterly and, on the basis of our work program, conducted the activities described below.

Internal Control

We confirmed that management, in fulfilling its responsibilities in the area of internal control, has established the general guidelines and necessary procedures for the application of internal control functions and compliance therewith. In addition, we followed up on the comments and observations made in this respect by the external and internal auditors in the performance of their work.

With respect to the electronic information systems of the company, we held meetings with the person responsible for this area and reviewed the security and strength of these systems. We recommended correction of potential risks and this recommendation was duly carried out.

External Audit

We recommended the appointment of the external auditors of the Group to the Board of Directors; we confirmed their independence, policies for hiring personnel and such other subjects that we considered to be relevant. We analyzed the focus of the audit and work program with the external auditors as well as their relationship with the internal auditing area.

We maintained direct communication with the two auditing firms that reviewed the financial statements of the Company and its subsidiaries in order to follow the progress of their work and their observations, and to be informed of their comments concerning the quarterly and annual financial statements. We were informed in a timely manner about their conclusions and reports on the annual financial statements.

We authorized the fees paid to the external auditors for auditing and other approved services and assured that their independence from the Company was not compromised.

Taking into consideration the points of view of management, we conducted an evaluation of their services during the previous year and reviewed the preliminary financial statements.

Internal Audit

With respect to the internal auditing area:

1. We duly reviewed and approved the work program and budgeted activities for the year.
2. We received periodic reports on the state of progress of the approved work program.
3. We followed up on the comments and suggestions made, as well as on their implementation.
4. We were assured that an annual training program had been implemented.

Financial Information and Accounting Policies

We reviewed the quarterly and annual financial statements of the Company with the personnel responsible for their preparation and recommended that the Board of Directors approve such financial statements and authorize their publication. We took the opinions and comments of the external auditors into consideration as part of this process.

With the support of the internal and external auditors and in issuing our opinion on the financial statements, we verified that the accounting policies and criteria and the information utilized by management in the preparation of the financial statements was adequate and sufficient and had been applied in a manner that was consistent with the prior year. Consequently, the information presented by management reasonably reflects the financial position, results of operations and changes in financial position of the Company.

We approved the adoption of the new accounting procedures and standards that went into effect in 2007, which were issued by the organization responsible for Mexican Financial Reporting Standards.

Compliance with Applicable Regulatory Standards and Laws. Contingencies

With the support of the internal and external auditors, we confirmed the existence and reliability of the controls established by the company to assure compliance with the various legal requirements to which it is subject and assured that there was adequate disclosure in the financial information.

We periodically reviewed the various tax, legal and labor contingencies existing in the company; we assured the efficacy of the procedure established to identify and monitor such matters as well as their adequate disclosure and recording.

Code of Ethics

With the support of the internal auditors and other departments in the company, we investigated the compliance by personnel with the Code of Ethics of the Group.

Compliance with Other Obligations

We held meetings with the executive officers and other management personnel we considered necessary in order to remain informed about the progress of the company and any relevant or unusual activities and events.

We obtained information about significant matters that could involve possible non-compliance with the operating policies, internal control system and policies respecting the accounting policies, and were also informed of the corrective measures taken in each such instance and found them to be satisfactory.

In the fiscal period under discussion, we did not deem it to be necessary to request support and opinions from independent experts because the issues addressed in each meeting were duly supported by the necessary relevant information such that our conclusions were satisfactory to the board members on the Audit Committee.

In my capacity as Chairman of the Auditing Committee, I reported quarterly to the Board of Directors on the activities conducted jointly within the Committee.

The work that we conducted was duly documented in minutes prepared for each meeting that were reviewed and approved at the time by the members of the Committee.

Sincerely,



Henry Davis
Chairman of the Audit Committee of
Grupo Bimbo, S. A. B. de C.V.

Corporate Practices
Committee Report

February 14, 2008

Mr. Roberto Servitje Sendra
Chairman of the Board of Directors of Grupo Bimbo, S.A.B de C.V.
Prolong. Paseo de la Reforma No. 1000
Colonia Peña Blanca Santa Fe
Deleg. Alvaro Obregon
01210 Mexico, D.F.

Ref.: Report of Activities of the Corporate Practices Committee

Dear Mr. Chairman,

I hereby wish to inform you that the Corporate Practices Committee (the "Committee") of Grupo Bimbo, S.A.B de C.V. ("Bimbo") met two times during the 2007 fiscal year, in accordance with the provisions of the corporate bylaws and the Securities Market Law.

In these meetings, we reviewed a variety of topics within the purview of the Committee, including the following highlights:

1. Approval of the Bimbo's Internal Policy that establishes the maximum amount for transactions with related parties that do not require the approval of the Board of Directors, as deemed non-material.

2. Review and recommendation for approval, by the Board of Directors, of each and every transaction with related parties requiring approval by the Board of Directors.

3. Review and recommendation for approval, by the Board of Directors, of the policies for the designation, evaluation and compensation of the Chief Executive Officer, as well as the senior officers who serve on the Executive Committee of Bimbo.

4. Review and recommendation for approval, by the Board of Directors, of the policy on corporate donations by the company.

5. Review of internal procedures on contracting services and purchasing merchandise from related parties at market prices.

The Committee received the necessary information from officers and employees of Bimbo and they were available to meet with the Committee. The meetings were documented in minutes accompanied by the supporting materials prepared by management.

Please do not hesitate to contact me with any questions or comments in connection hereof.

Sincerely,



Ricardo Guajardo Touché
Chairman of the Corporate Practices Committee

Management's Discussion and
Analysis of Results

for the year ended December 31, 2007

All figures herein are expressed in millions of constant Mexican pesos of December 31, 2007, unless stated otherwise, and have been prepared according to Mexican Financial Reporting Standards; all percentage changes are expressed in real terms.

Overview

Grupo Bimbo reported an 8.2% increase in net sales in 2007, reflecting solid volume gains and a better sales mix, as well as pricing actions taken throughout the year in all regions to offset the significant price escalation in some of the Company's key raw materials, particularly wheat flour, fats, oils and dairy.

The operating margin declined slightly, from 9.1% in 2006 to 8.9% in 2007, due to the important increase in raw material costs. However, a better sales mix, absorption of fixed costs and expenses, stable administrative expenses, and initiatives to reduce distribution expenses helped reduce pressure on the margin.

Factors Affecting Performance

A number of external factors and trends, combined with internal operating initiatives, impacted the Company's operating and financial performance in 2007, including:

- The significant expansion of the Company's product portfolio to satisfy consumer preferences and demands. The pace at which the Company identifies and analyzes market trends, and develops and launches new products, has shortened considerably through a range of go-to-market strategies.

- Brand building efforts that resulted in market share gains in several categories and regions in which the Company participates.

- Significantly higher raw material costs compared to 2006, as a result of pressures in the international commodities markets, which led to an 80 basis point impact on the gross margin. For wheat alone, which is the basis for the Company's principal input, wheat flour, the average price rose 40% year over year.

- Pricing actions taken across all of the Company's operations to offset the impact of higher raw material costs. It is important to note that there was no significant impact in volumes in 2007 resulting from these actions.

- The opening of approximately 2,200 distribution routes in the year, with a particular focus on expanding the penetration of non-traditional channels in Mexico, the traditional channel in Central and South America, and the convenience store channel in the United States, along with routes dedicated to Hispanic products in that market.

Net Sales

Net sales totaled Ps. 72,294 in 2007, an 8.2% increase over 2006 that was driven by good performance in Mexico and the U.S. operations, as well as solid double-digit growth in Latin America.

In Mexico, sales rose 7.1% to Ps. 49,713 as a result of a better sales mix, greater sales volumes in most product categories, and pricing actions taken over the course of the year to help offset higher raw material costs.

In the United States, net sales rose 4.7% to Ps. 16,565, and in dollar terms 7.3% to US$1.5 billion, reflecting a better sales mix, new product launches, volume growth in several key BBU brands, and price increases.

In Latin America, the 21.1% rise in net sales to Ps. 7,600 primarily reflected the aggressive market penetration strategy that added 77,000 new customers. Sales also benefited from the expansion of the product portfolio, higher prices and acquisitions made during the year. Excluding the new operations, sales would have grown 16.9% with respect to 2006.

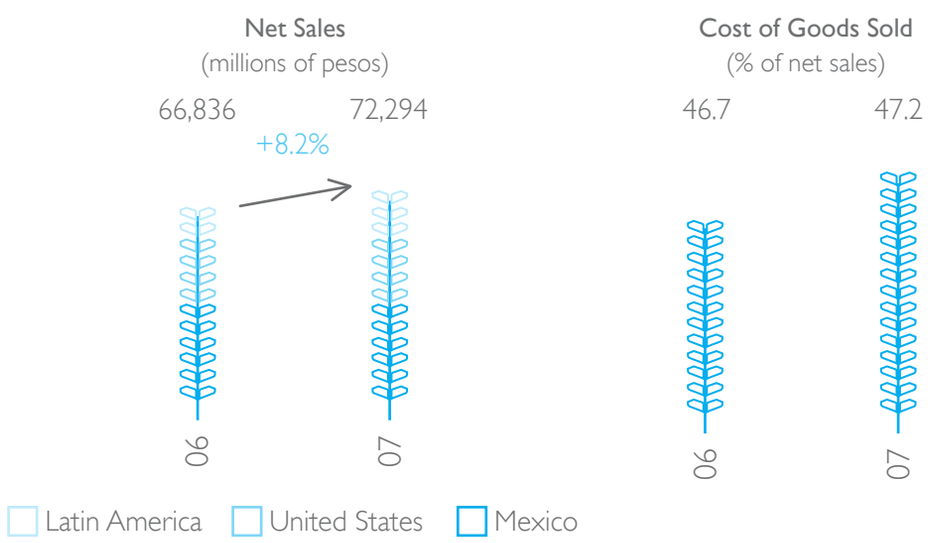
Gross Margin

Despite the significant pressure resulting from the price escalation of several of the Company's key raw materials, the gross margin declined by only 0.5 percentage points, to 52.8%. The impact on the margin was partially offset by a more efficient sales mix, a reduction in labor and indirect production costs, and pricing actions taken over the course of the year.

On a regional basis, in Mexico, the combination of more efficient execution at the point of sale and better pricing for our products almost compensated for the impact of higher raw material costs, resulting in a minimal decline of 0.2 percentage points in the margin, to 54.9% in 2007.

In the United States, the margin declined by 0.3 percentage points, to 46.0%. This was due to higher raw material costs that were partially offset by: i) price increases implemented throughout the year, ii) lower labor and indirect production costs, and iii) reallocation of production capacity to more profitable SKUs.

In Latin America, the margin declined by only 0.1 percentage point, to 43.5%, primarily due to the economies of scale achieved by the strong growth in volumes, which almost fully compensated for the impact of higher raw material costs.



Operating Expenses

Operating expenses represented 44.0% of net sales, 0.2 percentage points less than in 2006. This reflected a combination of higher sales volumes and better pricing, an improved sales mix, and a more efficient distribution expense. In this regard, it is important to note that distribution expenses registered a 0.2 percentage point decline when compared to the previous year despite the significant expansion of the distribution network in Latin America and the United States, and the investments made in distribution in Mexico. Administrative expenses remained unchanged on a percentage basis.

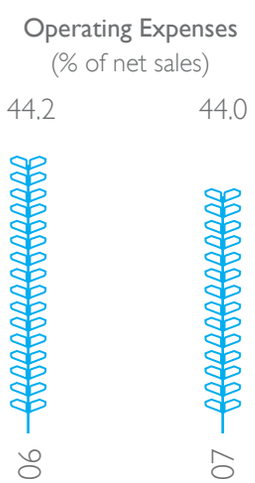
Operating Income

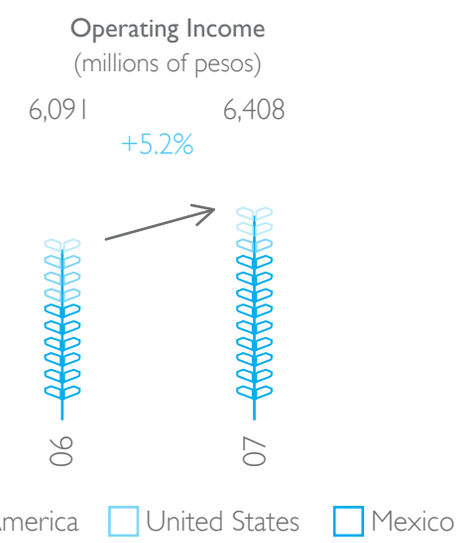
On a consolidated basis, operating income rose 5.2% in 2007 to Ps. 6,408. The margin was 8.9%, compared to 9.1% in 2006. The slight decline in the margin reflects cost and expense absorption derived from the growth in sales volumes, stable administrative expenses, and the initiatives to fine-tune distribution expenses, which combined, helped to partially offset the increase in the cost of goods sold.

In Mexico, the increase in raw material prices and expenses associated with optimizing distribution offset the improvements in labor and indirect production costs; therefore, despite a 2.4% increase in operating income, the margin declined by 0.5 percentage points to 11.9%.

In the United States, the margin was 1.2%, 0.3 percentage points below 2006. Although operating expenses were stable throughout the year, the decline in margin is related to gross margin pressure, which worsened markedly in the last quarter of the year. In addition, the U.S. operations were importantly impacted by the application of Mexican Financial Reporting Standards in 2007; under U.S. GAAP, however, the operating margin in the U.S. was 1.5%, unchanged from the year ago period.

In Latin America, the significant growth in the scale of distribution led to operating income that was nearly five times higher than in 2006. As such, the operating margin registered an historical level of 3.5% in 2007, representing a 2.6 percentage point expansion over the previous year.





Comprehensive Financing Result

Financing costs declined by 23.3% to Ps. 234, primarily as a result of a lower exchange loss and, to a lesser extent, to lower net interest related to the reduction in debt compared to 2006.

Net Majority Income

Net majority income rose 3.5% in 2007, to Ps. 3,811. The 0.2 percentage point decline in the margin, to 5.3%, was due to pressure on the gross and operating margins, as well as to one-time non-cash charges resulting from adjustments to the value of deferred taxes. This latter point is explained by: i) the effect of applying Mexican GAAP to the value of U.S. assets after 2006 deflation, and ii) the change in the Mexican tax code to the Flat Rate Business Tax ("IETU"), effective as of January 1, 2008. In addition, the net majority income registered in 2006 included extraordinary income related to a favorable judicial ruling and for the sale of the Company's share in Agusa. Excluding the deferred tax effect, net majority income would have been Ps. 4,010, 8.9% higher than in 2006.

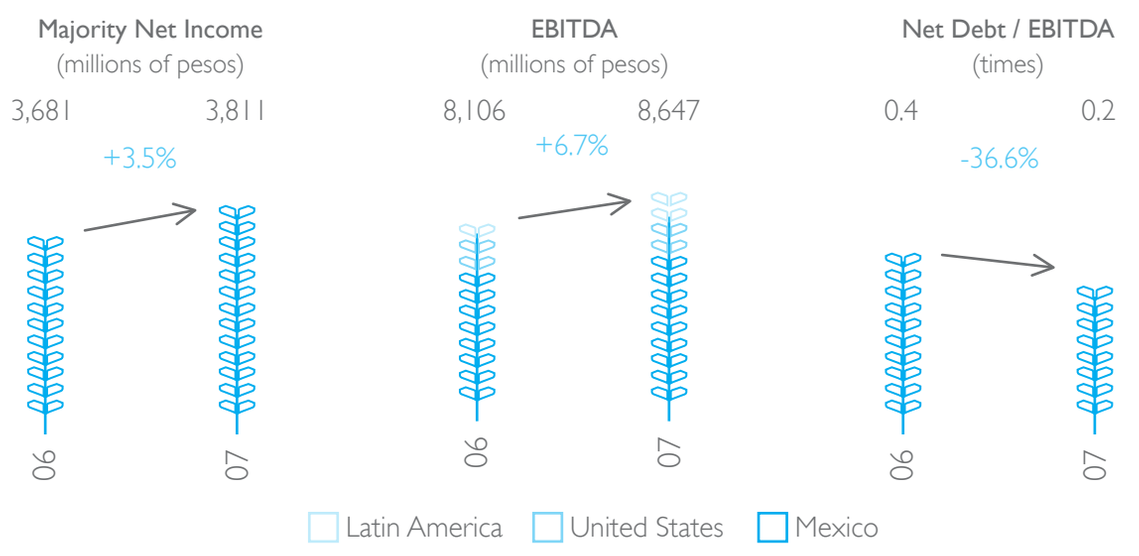
Earnings Before Interest, Taxes, Depreciation and Amortization (EBITDA)

EBITDA for 2007 was Ps. 8,647, a 6.7% increase over the previous year, with a 0.1 percentage point decline in the margin to 12.0%. While these figures were largely in line with operating performance, the intensive level of investment over the past two years has resulted in higher depreciation.

Financial Structure

At year-end 2007, the Company's cash position was Ps. 3,994, compared to Ps. 5,716 registered in 2006. This reflected a Ps. 2,750 paydown of local debt and a Ps. 470 dividend payment. The net debt position was Ps. 2,030, a decrease of 32.4% from 2006.

The net debt to equity ratio at year-end 2007 was 0.07 times, compared to 0.12 times in 2006, while the net debt to EBITDA ratio went from 0.4 times in 2006 to 0.2 in 2007.



Independent
Auditor's Report

Independent Auditors' Report to the Board of Directors and Stockholders
of Grupo Bimbo, S. A. B. de C.V.

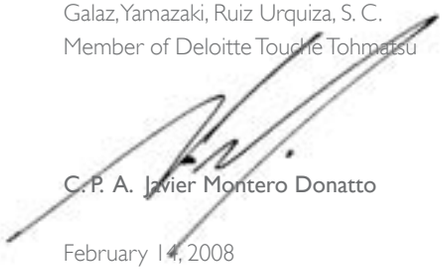
We have audited the accompanying consolidated balance sheets of Grupo Bimbo, S. A. B. de C.V. and subsidiaries (the "Company") as of December 31, 2007 and 2006, and the related consolidated statements of income, changes in stockholders' equity and changes in financial position for the years then ended, all expressed in millions of Mexican pesos of purchasing power as of December 31, 2007. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits. We did not audit the financial statements of certain consolidated subsidiaries, which statements reflect total assets constituting 39% of consolidated total assets as of December 31, 2007 and 2006, and net sales constituting 31% and 30%, respectively, of consolidated net sales for the years then ended. Those statements were audited by other auditors, whose reports have been furnished to us, and our opinion, insofar as it relates to the amounts included for those entities, is based solely on the reports of such other auditors.

We conducted our audits in accordance with auditing standards generally accepted in Mexico. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement and that they are prepared in accordance with Mexican financial reporting standards. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits and the reports of the other auditors provide a reasonable basis for our opinion.

In our opinion, based on our audits and the reports of the other auditors, such consolidated financial statements present fairly, in all material respects, the financial position of Grupo Bimbo, S. A. B. de C.V. and subsidiaries as of December 31, 2007 and 2006, and the results of their operations, changes in their stockholders' equity and changes in their financial position for the years then ended in conformity with Mexican financial reporting standards.

The accompanying consolidated financial statements have been translated into English for the convenience of users.

Galaz, Yamazaki, Ruiz Urquiza, S. C.
Member of Deloitte Touche Tohmatsu



C. P. A. Javier Montero Donatto

February 14, 2008

Grupo Bimbo, S. A. B. de C.V. and Subsidiaries

Consolidated **Balance Sheets**

As of December 31, 2007 and 2006

(In millions of Mexican pesos of purchasing power of December 31, 2007)

		2007		2006
Assets				
Current assets:				
Cash and equivalents	$	3,902	$	5,690
Accounts and notes receivable, net		4,818		4,420
Inventories, net		1,845		1,744
Prepaid expenses		521		297
Derivative financial instruments		92		27
Total current assets		11,178		12,178
Property, machinery and equipment, net		23,504		21,561
Investment in shares of associates		1,157		943
Deferred income taxes		1,078		1,305
Trademarks and rights of use		3,491		3,387
Goodwill		3,890		3,836
Intangible assets for employee retirement benefits		298		242
Other assets, net		647		487
Total	$	45,243	$	43,939
Liabilities and stockholders' equity				
Current liabilities:				
Current portion of long-term debt	$	2,605	$	3,248
Trade accounts payable		4,296		4,049
Other accounts payable and accrued liabilities		3,072		2,744
Due to related parties		470		456
Statutory employee profit sharing payable		467		455
Derivative financial instruments		–		31
Total current liabilities		10,910		10,983
Long-term debt		3,419		5,471
Derivative financial instruments		–		56
Employee retirement benefits and workers' compensation		1,099		1,159
Deferred statutory employee profit sharing		29		46
Deferred income taxes		1,289		1,258
Total liabilities		16,746		18,973
Stockholders' equity:				
Capital stock		8,006		8,006
Reserve for repurchase of shares		759		759
Retained earnings		27,994		24,666
Other comprehensive loss		(6,541)		(6,563)
Initial cumulative effect of deferred income taxes		(2,397)		(2,397)
Derivative financial instruments		95		(32)
Majority stockholder's equity		27,916		24,439
Minority interest in consolidated subsidiaries		581		527
Total stockholders' equity		28,497		24,966
Total	$	45,243	$	43,939

See accompanying notes to consolidated financial statements.

Grupo Bimbo, S. A. B. de C. V. and Subsidiaries

Consolidated **Statements of Income**

For the years ended December 31, 2007 and 2006

(In millions of Mexican pesos of purchasing power of December 31, 2007, except for earnings per share expressed in Mexican pesos)

		2007		2006
Net sales	$	**72,294**	$	66,836
Cost of sales		**34,095**		31,199
Gross profit		**38,199**		35,637
General expenses:				
Distribution and selling		**27,128**		25,214
Administrative		**4,663**		4,332
		31,791		29,546
Income after general expenses		**6,408**		6,091
Other expenses, net		**395**		314
Net comprehensive financing cost:				
Interest expense, net		**462**		522
Exchange loss, net		**106**		106
Monetary position gain		**(334)**		(324)
		234		304
Equity in income of associated companies		**60**		38
Income before income taxes		**5,839**		5,511
Income tax expense		**1,925**		1,736
Consolidated net income for the year	$	**3,914**	$	3,775
Net income of majority stockholders	$	**3,811**	$	3,681
Net income of minority stockholders	$	**103**	$	94
Earnings per share:				
Basic earnings per common share	$	**3.19**	$	3.13
Weighted average number of shares outstanding (000's)		**1,175,800**		1,175,800

See accompanying notes to consolidated financial statements.

Grupo Bimbo, S. A. B. de C.V. and Subsidiaries

Consolidated Statements of **Changes in Stockholders' Equity**

For the years ended December 31, 2007 and 2006
(In millions of Mexican pesos of purchasing power of December 31, 2007)

	Capital stock	Reserve for repurchase of shares	Retained earnings
Balances, January 1, 2006	$ 8,006	$ 759	$ 21,763
Dividends declared	–	–	(778)
Balances before comprehensive income (loss)	8,006	759	20,985
Consolidated net income for the year	–	–	3,681
Effect of valuation of financial instruments	–	–	–
Restatement effects for the year	–	–	–
Adjustment to additional pension liability	–	–	–
Translation effects of foreign subsidiaries	–	–	–
Comprehensive income (loss)	–	–	3,681
Balances, December 31, 2006	8,006	759	24,666
Dividends declared	–	–	(483)
Balances before comprehensive income (loss)	8,006	759	24,183
Consolidated net income for the year	–	–	3,811
Effect of valuation of financial instruments	–	–	–
Restatement effects for the year	–	–	–
Adjustment to additional pension liability	–	–	–
Translation effects of foreign subsidiaries	–	–	–
Comprehensive income (loss)	–	–	3,811
Balances, December 31, 2007	**$ 8,006**	**$ 759**	**$ 27,994**

See accompanying notes to consolidated financial statements.

Other comprehensive loss	Initial cumulative effect of deferred income taxes	Derivative financial instruments	Majority stockholder's equity	Minority interest in consolidated subsidiaries	Total stockholders' equity
$ (6,674)	$ (2,397)	$ (74)	$ 21,383	$ 501	$ 21,884
–	–	–	(778)	(78)	(856)
(6,674)	(2,397)	(74)	20,605	423	21,028
–	–	–	3,681	94	3,775
–	–	42	42	–	42
141	–	–	141	10	151
(52)	–	–	(52)	–	(52)
22	–	–	22	–	22
111	–	42	3,834	104	3,938
(6,563)	(2,397)	(32)	24,439	527	24,966
–	–	–	(483)	(47)	(530)
(6,563)	(2,397)	(32)	23,956	480	24,436
–	–	–	3,811	103	3,914
–	–	127	127	–	127
(191)	–	–	(191)	(2)	(193)
227	–	–	227	–	227
(14)	–	–	(14)	–	(14)
22	–	127	3,960	101	4,061
$ (6,541)	**$ (2,397)**	**$ 95**	**$ 27,916**	**$ 581**	**$ 28,497**

Grupo Bimbo, S. A. B. de C.V. and Subsidiaries

Consolidated Statements of **Changes in Financial Position**

For the years ended December 31, 2007 and 2006

(In millions of Mexican pesos of purchasing power of December 31, 2007)

		2007		2006
Operating activities:				
Consolidated net income	$	3,914	$	3,775
Items that did not require (generate) resources:				
Depreciation and amortization		2,239		2,015
Equity in income of associated companies		(60)		(38)
Employee retirement benefits and workers' compensation		(116)		48
Deferred income taxes		258		82
Deferred statutory employee profit sharing		(17)		(16)
Impairment of long-lived assets		4		2
		6,222		5,868
Changes in current assets and liabilities:				
(Increase) decrease in:				
Accounts and notes receivable		(398)		(518)
Inventories		(146)		(341)
Prepaid expenses		(224)		46
Increase (decrease) in:				
Trade accounts payable		247		696
Other accounts payable, accrued liabilities and statutory employee profit sharing		340		48
Due to related parties		14		64
Net resources generated by operating activities		6,055		5,863
Financing activities:				
Short-term loans from financial institutions, net		377		–
Long-term debt		(3,072)		(327)
Dividends declared		(530)		(856)
Derivative financial instruments		(25)		(1)
Adjustment to additional pension liability		227		(52)
Translation effects of foreign entities		(14)		22
Net resources used in financing activities		(3,037)		(1,214)
Investing activities:				
Acquisition of property, machinery and equipment, net of retirements		(4,330)		(2,972)
Increase in investment in associated companies		(154)		(171)
Trademarks and rights of use		(108)		(121)
Goodwill		(54)		(128)
Other assets		(160)		(46)
Net resources used in investing activities		(4,806)		(3,438)
Cash and equivalents:				
(Decrease) increase		(1,788)		1,211
Balance at beginning of year		5,690		4,479
Balance at end of year	$	3,902	$	5,690

See accompanying notes to consolidated financial statements.

1. The Company

Grupo Bimbo, S. A. B. de C.V. and subsidiaries ("Bimbo" or the "Company") are engaged in the manufacture, distribution and sale of bread, cookies, cakes, candies, chocolates, snacks, tortillas and processed foods.

The Company operates in the following geographical areas: Mexico, the United States of America ("USA"), Central and South America ("OLA"), Europe, and China. Due to the relatively low materiality, the financial information of the Europe and China regions are aggregated with Mexico.

2. Basis of presentation

a. Explanation for translation into English - The accompanying consolidated financial statements have been translated from Spanish into English for use outside of Mexico. These consolidated financial statements are presented on the basis of Mexican Financial Reporting Standards ("MFRS", individually referred to as *Normas de Información Financiera* or "NIFs"). Certain accounting practices applied by the Company that conform with MFRS may not conform with accounting principles generally accepted in the country of use.

b. Consolidation of financial statements - At December 31, 2007 and 2006, the consolidated financial statements include those of Grupo Bimbo, S. A. B. de C.V. and its subsidiaries, of which some of the more significant are shown below:

Subsidiary	Ownership percentage	Principal Business
Bimbo, S. A. de C.V.	97	Bakery
Barcel, S. A. de C.V.	97	Candies and snacks
Gastronomía Avanzada Pastelerías, S. A. de C.V. ("El Globo")	100	Bakery and cakes
Bimbo Bakeries USA, Inc. ("BBU" o "USA")	100	Bakery
Bimbo do Brasil, Ltda.	100	Bakery
Ideal, S. A. (Chile)	100	Bakery

All significant intercompany balances and transactions have been eliminated in these consolidated financial statements.

The Company's investments in unconsolidated associated companies is valued by the equity method or historical costs, depending on the shareholding percentage, and are not consolidated in these financial statements as the Company does not have control over such entities.

During 2007 and 2006, net sales of Bimbo, S. A. de C.V. and Barcel, S. A. de C.V. in Mexico represented approximately 68% and 69%, respectively, of consolidated net sales.

c. **Acquisitions -** During 2007 and 2006, the Company acquired the following businesses:

Date	Company	Country	Acquistion cost	Goodwill
2007				
October 31	Temis, S.A.	Paraguay	$ 17	$ 1
July 31	El Maestro Cubano Florentino Sande, S.A.	Uruguay	93	10
June 21	Rolly's Pastelería, S. A. y King Baker Home, S.A.	Peru	77	50
June 12	Pan Catalán S. A.	Uruguay	21	10
May 30	Assets and trademarks of "Moderna"	Panama	57	–
February 7	Agua de Piedra, S.A.	Chile	46	26
January 31	Assets and trademarks of "La Favorita"	Panama	9	–

Date	Company	Country	Acquistion cost	Goodwill
2006				
June 19	Assets and trademarks of "El Molino"	Mexico	$ 42	$ –
March 24	Beijing Panrico Food Processing Center	China	150	92
January 30	Walter M Doldán y Cía y Los Sorchantes, S.A.	Uruguay	76	10

d. **Translation of subsidiaries' financial statements -** To consolidate the financial statements of foreign subsidiaries operating independently from the Company (located in the USA and other Latin American and European countries, which in 2007 and 2006 constituted 33% of consolidated net sales, and 40% and 36%, respectively, of consolidated total assets), the same accounting policies as those of the Company are applied. Accordingly, such financial statements are restated for inflation of the country in which the subsidiaries operate and are expressed in local currency of purchasing power at year end. Subsequently, all assets and liabilities are translated at the exchange rate prevailing at year end. Capital stock is translated at the exchange rate of the dates the contributions were made, and retained earnings, at the year end exchange rate of the year in which they were obtained. Revenues, costs and expenses are translated at the exchange rate of the closing of the year in which they were reported. The translation adjustment effects are recorded directly in stockholders' equity.

The financial statements of foreign subsidiaries included in the 2006 consolidated financial statements are restated in constant currency of the countries where they operate and translated into Mexican pesos, using the exchange rate of the latest year presented.

e. **Comprehensive income (loss) and other comprehensive income (loss) -** Comprehensive income (loss) presented in the accompanying statement of changes in stockholders' equity is the modification of stockholders' equity during the year for items that are not distributions and movements of contributed capital and includes consolidated net income for the year plus other items that represent a gain or loss for the same period which, in conformity with MFRS, are recorded directly in stockholders' equity without affecting the results of operations. In 2007 and 2006, the items of other comprehensive income (loss) consist of the excess (insufficiency) in restatement of stockholders' equity, the adjustment to additional pension liability, the unrealized accrued effects of derivative instruments and the translation effects of foreign entities. The other concepts of the accrued comprehensive income (loss) consist of balance of comprehensive income (loss) of majority stockholders' equity.

3. Summary of significant accounting policies

The accompanying consolidated financial statements have been prepared in conformity with MFRS, which require that management make certain estimates and use certain assumptions that affect the amounts reported in the financial statements and their related disclosures; however, actual results may differ from such estimates. The Company's management, upon applying professional judgment, considers that estimates made and assumptions used were adequate under the circumstances. The significant accounting policies of the Company are as follows:

a. Accounting changes

Statement of income - Beginning January 1, 2007, the Company adopted new NIF B-3, Statement of Income, which now classifies revenues, costs and expenses into ordinary and non-ordinary. Ordinary items are derived from primary activities representing an entity's main source of revenues. Non-ordinary items are derived from activities other than those representing an entity's main source of revenues. Consequently, the classification of certain transactions as special and extraordinary was eliminated; these items are now part of other income and expenses and non-ordinary items, respectively. Statutory employee profit sharing ("PTU") should now be presented as an ordinary expense and no longer presented as a tax on income. According to Interpretation of Financial Information Standards Number 4, *Presentation of Statutory Employee Profit Sharing in the Statement of Income*, ("INIF 4") PTU should be included within other income and expenses. The main effect of adopting this NIF was the reclassification of current and deferred PTU for fiscal 2006 of $456 to other income and expenses.

Events subsequent to the date of the financial statements - Beginning January 1, 2007, the Company adopted the provisions of NIF B-13, *Events Occurring After the Date of the Financial Statements*, which requires that asset and liability restructurings and waivers by creditors of their right to demand payment in the event an entity defaults on contractual obligations that occur in the period between the date of the consolidated financial statements and the date of their issuance only be disclosed in a note to the consolidated financial statements and be recognized in the financial statements of the period in which such events actually take place. Through 2006, the effect was recognized retroactively when agreements or waivers were obtained in a subsequent period.

Related parties - Beginning January 1, 2007, the Company adopted NIF C-13, Related Parties, which broadens the concept "related parties" to include a) the overall business in which the reporting entity participates; b) close family members of key management or prominent executives; and c) any fund created in connection with a labor-related compensation plan. NIF C-13 also requires the following disclosures: 1) that the terms and conditions of consideration paid or received in transactions carried out between related parties be equivalent to those of similar transactions carried out between independent parties and the reporting entity, only if sufficient evidence exists; 2) benefits granted to the entity's key management or prominent executives. Notes to the 2006 consolidated financial statements were amended to comply with the new provisions.

Capitalization of comprehensive financing result - Beginning January 1, 2007, the Company adopted NIF D-6, Capitalization of Comprehensive Financing Result, which establishes general capitalization standards. Some of these standards include: a) mandatory capitalization of comprehensive financing cost ("CFC") directly attributable to the acquisition of qualifying assets; b) when financing in domestic currency is used to acquire assets, yields obtained from temporary investments before the capital expenditure is made are excluded from the amount capitalized; c) a methodology to calculate capitalizable CFC relating to funds from generic financing; d) regarding land, CFC may be capitalized if land is developed, and e) conditions that must be met to capitalize CFC and rules indicating when CFC should no longer be capitalized. Since the Company's assets are not considered as qualifying assets, in 2007 and 2006 CFC was directly charged to income statement.

b. Recognition of the effects of inflation - The Company restates the financial statements of the Mexican entities and foreign subsidiaries in terms of the purchasing power of the Mexican peso at the date of the latest balance sheet, thereby recognizing the effects of inflation. Consequently, the financial statements presented for the prior year have also been restated based on the same purchasing power, so that their figures differ from those originally presented, which were shown in pesos of purchasing power at the close of that year. Consequently, the figures shown in the accompanying financial statements are comparable as they are expressed in constant pesos.

Inflationary gains and losses on nonmonetary and monetary items are reflected in the financial statements under the following two headings, respectively:

- Insufficiency in restated stockholders' equity - This item consists of the result from monetary position accrued through the first restatement of the financial statements and the loss from holding nonmonetary assets, which represents the change in the specific level of prices above or below inflation.

- Monetary position result - The result from monetary position, which represents the erosion of the purchasing power of monetary items due to inflation, is calculated by applying factors derived from the National Consumer Price Index ("NCPI") to the monthly net monetary position. Gains arise from maintaining a net liability monetary position.

c. Cash and cash equivalents - Consists mainly of bank deposits in checking accounts and readily available daily investments of cash surpluses. The cash is stated at nominal value plus accrued yields, which are recognized in results as they accrue.

d. Inventories and cost of sales - Inventories are stated at average costs, which are similar to their replacement value at year end, without exceeding net realizable value. The cost of sales is stated at actual cost, which is similar to replacement cost at the time goods are sold.

e. Property, machinery and equipment - Are recorded at acquisition or construction cost and restated using NCPI factors. Depreciation is calculated based on the followings percentages:

Buildings	5
Manufacturing equipment	8, 10 and 35
Vehicles	10 and 25
Office furniture and fixtures	10
Computers	30

f. Derivative financial instruments - The Company states all derivatives at fair value in the balance sheet, regardless of the purpose for holding them. Fair value is determined using prices quoted on recognized markets. If such instruments are not traded, fair value is determined by applying recognized valuation techniques.

Changes in the fair value of derivative instruments designated as hedging are recognized as follows; (1) for fair value hedges, changes in both the derivative instrument and the hedged item are recognized in current earnings; (2) for cash flow hedges, changes are temporarily recognized as a component of comprehensive income and then reclassified to current earnings when affected by the hedged item. The ineffective portion of the change in fair value is immediately recognized in current earnings, within comprehensive financing cost (CFC), regardless of whether the derivative instrument is designated as a fair value hedge or a cash flow hedge.

The Company uses interest rate swaps and foreign currency forward contracts to manage its exposure to interest rate and foreign currency fluctuations, as well as futures to fix the purchase price of raw materials. The Company formally documents all hedging relationships, including their objectives and risk management strategies to carry out derivative transactions. Derivative trading is performed only with institutions of recognized solvency, and limits have been established for each institution.

While certain derivative financial instruments are contracted for hedging from an economic point of view, they are not designated as hedges for accounting purposes. Changes in fair value of such derivative instruments are recognized in current earnings as a component of CFC.

The hedging derivative instruments are recorded as assets or liabilities without offsetting them against the hedged items.

g. Goodwill - Goodwill represents the excess of cost over book value of subsidiaries at the acquisition date. It is restated using the NCPI and, at least once a year, is subject to impairment tests. At December 31, 2007 the goodwill recorded is primarily attributable to the acquisitions of its U.S. subsidiary, Mrs. Baird's Bakeries, Inc.; the acquisitions in Mexico of El Globo and La Corona; in China of Panrico Food Processing Center; and in Peru of Rolly's Pastelería.

h. Trademarks and rights of use - Mainly derived from the acquisition of the George Weston, Ltd. businesses, the Company acquired the trademark of Oroweat bread, as well as a direct distribution system consisting of approximately 1,300 routes. Similarly, it acquired the usage rights of the Entenmann's, Thomas and Boboli trademarks. Such rights are no longer amortized; however, the values are subject to impairment tests.

i. Impairment of long-lived assets in use - The Company reviews the carrying amounts of long-lived assets in use when an impairment indicator suggests that such amounts might not be recoverable, considering the greater of the present value of future net cash flows or the net sales price upon disposal. Impairment is recorded when the carrying amounts exceed the greater of the amounts mentioned above. The impairment indicators considered for these purposes are, among others, the operating losses or negative cash flows in the period if they are combined with a history or projection of losses, depreciation and amortization charged to results, which in percentage terms in relation to revenues are substantially higher than that of previous years, obsolescence, reduction in the demand for the products manufactured, competition and other legal and economic factors. During 2007 and 2006, the Company recorded brand impairment of $4 and $2, respectively, mainly due to changes in market strategies, deciding not to use certain brands in the future.

j. Employee retirement benefits and workers' compensation - The liability from seniority premiums and pensions is recorded as accrued and is calculated by independent actuaries using the projected unit credit method at actual interest rates. Therefore, the liability is being recognized at present value, on the assumption that the liability for these benefits will be paid on the estimated general retirement date of the Company's employees.

Workers' compensation relates to the insurable risks such as general liability, automobile liability, and workers' compensation that are self-insured by the Company, with insurance coverage subject to specified limits. Liabilities for insurable risks have been determined using the Company's historical data and insurance industry data according to actuarial calculations.

k. Statutory employee profit sharing - Statutory employee profit sharing ("PTU") is recorded in the results of the year in which it is incurred and presented under other income and expenses in the accompanying consolidated statements of income. Deferred PTU is derived from temporary differences between the accounting result and income for PTU purposes and is recognized only when it can be reasonably assumed that such difference will generate a liability or benefit, and there is no indication that circumstances will change in such a way that the liabilities will not be paid or benefits will not be realized.

l. Income taxes - Income taxes are recorded in the results of the year in which they are incurred. Beginning October 2007, based on its financial projections, the Company must determine whether it will incur regular income tax ("ISR") or the new Business Flat Tax ("IETU") and, accordingly, recognizes deferred taxes based on the tax it will pay. Deferred taxes are calculated by applying the corresponding tax rate to the applicable temporary differences resulting from comparing the accounting and tax bases of assets and liabilities and including, if any, future benefits from tax loss carryforwards and certain tax credits. Deferred tax assets are recorded only when there is a high probability of recovery.

Tax on assets ("IMPAC") paid that is expected to be recoverable is recorded as an advance payment of ISR and is presented in the balance sheet decreasing the deferred tax liability.

m. Foreign currency balances and transactions - Foreign currency transactions are recorded at the applicable exchange rate in effect at the transaction date. Monetary assets and liabilities denominated in foreign currency are translated into Mexican pesos at the applicable exchange rate in effect at the balance sheet date. Exchange fluctuations are recorded as a component of results of the period.

n. Revenue recognition - Revenues are recognized in the period in which the risks and rewards of the products are transferred to the customers who purchased them, which generally occurs when these products are delivered to the customer. The Company deducts certain marketing expenses, such as promotion expenses, from sales.

o. Earnings per share - Basic earnings per share is calculated by dividing consolidated net majority income by the weighted average number of shares outstanding during the year.

4. Accounts and notes receivable

		2007		2006
Customers and agencies	$	4,049	$	3,750
Allowance for doubtful accounts		(102)		(136)
		3,947		3,614
Notes receivable		194		80
Value-added tax and other recoverable taxes		25		64
Sundry debtors		625		653
Officers and employees		27		9
	$	4,818	$	4,420

5. Inventories

		2007		2006
Finished products	$	687	$	669
Orders in-process		63		42
Raw materials, containers and wrapping		955		893
Other		52		60
Allowance for slow moving inventories		(5)		(6)
		1,752		1,658
Advances to suppliers		12		21
Raw materials-in-transit		81		65
	$	1,845	$	1,744

6. Property, machinery and equipment

		2007		2006
Buildings	$	8,332	$	7,944
Manufacturing equipment		20,675		19,385
Vehicles		7,706		7,468
Office furniture and fixtures		396		400
Computers		1,385		1,288
		38,494		36,485
Less- Accumulated depreciation		(18,755)		(17,958)
		19,739		18,527
Land		2,410		2,078
Construction in-progress and machinery in-transit		1,355		956
	$	23,504	$	21,561

7. Investment in shares of associates

At December 31, 2007 and 2006, the investment in associated companies is as follows:

Associated companies	% of ownership		2007		2006
Beta San Miguel, S. A. de C.V.	8		282		264
Bismark Acquisition, L.L.C.	30		24		30
Congelación y Almacenaje del Centro, S. A. de C.V.	10		75		44
Fin Común, S.A. de C.V.	30		55		1
Grupo Altex, S. A. de C.V.	11		74		71
Grupo La Moderna, S. A. de C.V.	3		105		131
Innovación en Alimentos, S.A. de C.V.	50		22		10
Mundo Dulce, S. A. de C.V.	50		371		251
Ovoplus, S. A. de C.V.	25		37		34
Pierre, L.L.C.	30		14		18
Productos Rich, S. A. de C.V.	18		56		50
Others	Various		42		39
		$	1,157	$	943

8. Long-term debt

		2007		2006
Committed Revolving line (Multi-currency) - On July 20, 2005, the Company restructured certain of the terms of the committed revolving line of credit contract originally signed on May 21, 2004, with four financial institutions with an original amount US$250, and maturity in May, 2008. The revised amount of the line of credit is US$600 million, of which 50% will be available in Mexican pesos and the new term is over 5 years, with maturity in July 2010. The revised financial terms applicable are as follows: For US dollar borrowings, the Company must pay the LIBOR rate plus 0.40% until the third anniversary and LIBOR rate plus 0.45% during the remaining term, while in case of Mexican peso borrowings, the Company must pay the TIIE rate plus 0.35% until the third anniversary and TIIE rate plus 0.40% thereafter until the maturity date. At July 20, 2005, the outstanding balance of this credit line was US$125 millions, which remained outstanding under the revised terms. As of December 31, 2007 and 2006, the balance of this line of credit is US$125 millions. The interest rate at December 31, 2007 was 5.5875%.	$	1,358	$	1,410
Share certificates - The Company issued share certificates on four occasions (payable upon maturity) to refinance short-term liabilities contracted to acquire certain assets in the Western United States. Such issues were structured as follows: - Bimbo 02- For $2,750 issued on May 17, 2002, maturing in May 2007, with a variable interest rate equal to the 182-day CETES rate plus 0.92 percentage points. On May 10, 2007, the Company paid the total amount of this issue; - Bimbo 02-2- For $750 issued on May 17, 2002, maturing in May 2012, with a fixed interest rate of 10.15% per annum; - Bimbo 02-3- For $1,150 issued on August 2, 2002, maturing in August 2009, with a fixed interest rate of 11% per annum; - Bimbo 02-4- For $1,850 issued on August 2, 2002, maturing in August 2008, with a variable interest rate equal to the 182-day CETES plus 0.97 percentage points, equivalent to 8.44% per annum as of December 31, 2007.		3,750		6,744
Direct loans - On February 2, 1996, the Company contracted financing of US$140 million, comprised of 3 promissory notes with International Finance Corporation (IFC). Notes "A" and "B" bear a fixed interest rate of 8.74% and "C" bears a variable interest rate at the 6-month LIBOR, paid semiannually. The term of notes "A" and "B" is 12 years, and principal is paid in 11 annual payments beginning February 1998. Note "C" is for 10 years. Note C was paid early on April 12, 2002. In February 2007, the Company paid off US$11.8 million on Notes A and B; therefore, the balance of this loan at December 31, 2007 is US$11.8 million.		128		266
Other - Certain subsidiaries have contracted other direct loans, which will be paid from 2007 to 2011, at various interest rates.		788		299
		6,024		8,719
Less – Current portion of long-term debt		(2,605)		(3,248)
Long-term debt	$	3,419	$	5,471

At December 31, 2007, long-term debt matures as follows:

2009	$	1,153
2010		1,500
2011		16
2012		750
	$	3,419

The loan contracts establish certain covenants and also require that the Company, maintain determined financial ratios based on consolidated financial statements. At December 31, 2007 and 2006, the Company had complied with all the obligations established in the loan contracts.

9. Derivative financial instruments

Mexico-

Interest rate hedges - The Company issued share certificates for $6,500 in 2002 (described in Note 8) and simultaneously contracted swaps that change the profile of the debt from variable to fixed rate; the notional amount is $3,750 and represents 58% of the share certificates outstanding. These derivatives were designated as cash flow hedges, and as of their formal designation it was assumed that they would not generate ineffective portions.

On March 30, 2007, the Company decided to early terminate an interest rate swap for $500, this early termination resulted in a loss of $21 which is included in CFC.

On April 2, 2007, the Company decided to early terminate an interest rate swap for $500, this early termination resulted in a loss of $20 which is included in CFC.

On May 10, 2007, the interest rate swap for $2,750 that covered the Bimbo 02 issue expired.

As of December 31, 2007 the Company does not have interest rate hedge instruments.

As of December 31, 2006, the trading characteristics of the hedge instruments are as follows:

Swaps that set share certificate rates					
Date of Commencement	Date of Maturity	Notional amount	Interest rate Floating (collected)	Interest rate Fixed (paid)	Fair value
Figures as of December 31, 2006					
May 17, 2002	May 10, 2007	$ 2,750	8.18%	10.38%	$ (31)
Aug 2, 2002	Aug 2, 2008	$ 1,000	8.31%	10.94%	(56)
					$ (87)

The fair value of the swaps as of December 31, 2006 was recognized as a liability for $87 ($31 is to short term and $56 to long term) net of deferred income tax liabilities of $24 and net comprehensive income of $63. In 2006, $14 were reclassified (net of income tax) from comprehensive income to results.

Wheat price hedges - The Company signs wheat futures contracts to minimize the risks of variation in international prices of wheat, the primary component of the flour which is the main input used by the Company in the manufacture of its products. The transactions are performed in recognized commodities markets, and through their formal documentation are designated as forecast transaction hedges (wheat purchases).

As of December 31, 2007 and 2006, the characteristics of these hedging instruments are as follows:

Futures contracts to set the purchase price of wheat

Commencement date	Position	Contracts Number	Contracts Maturity	Fair value
Figures at December 31, 2007				
August 2007	Long	6	July 2008	$ 1
September 2007	Long	445	July 2008	56
September 2007	Long	108	September 2008	14
October 2007	Long	14	March 2008	1
October 2007	Long	88	September 2008	8
November 2007	Long	285	March 2008	20
				$ 100
Figures at December 31, 2006				
August - October 2006	Long	324	March 2007	$ 5
October 2006	Long	200	July 2007	4
November 2006	Long	190	March 2007	1
December 2006	Long	250	March 2007	(1)
December 2006	Long	300	May 2007	2
December 2006	Long	200	July 2007	1
				$ 12

The fair value for future contracts at December 31, 2007 is for a total amount of $100, which is recognized as a current asset with credits of $38 to deferred income taxes and of $62 for comprehensive income. The balance of comprehensive income at December 31 for futures contracts is for $95, because it includes closed contracts for $33 which have not been transferred to the cost of sales due to the fact they have not been consumed. At December 31, 2006 the fair value is for $12, recognized as an asset with a credit to income deferred tax as liability for $3 and a debit to the comprehensive income for $9. As of December 31, 2006, the closed contracts recognized into the comprehensive income that have not been consumed are for $6. It is estimated that comprehensive income of futures contracts at December 31, 2007 will be reclassified during 2008.

At December 31 2006, the Company has other futures contracts which have not been designated as a hedge, which fair value at the close of these transactions is for $15, and for that reason are presented as an asset and their valuation effect in the Comprehensive Financing Cost (CFC) in the income statement.

Embedded derivative instruments - At December 31, 2007 and 2006, the Company does not have embedded derivatives.

USA-

Wheat price hedges - To protect itself from risks derived from fluctuations in wheat commodities prices, the Company uses futures contracts on a selective basis. Fluctuations in the value of derivative financial instruments, stated at fair value, are recognized in results of operations for the year, net of the costs and expenses derived from the assets whose risks are being hedged. The premiums paid or received for the derivative financial instruments acquired for hedging purposes are deferred and amortized, with a charge to results for the year during the life of such instruments.

During 2007 and 2006, BBU performed derivative financial transactions intended to cover increases in the price of wheat for bread-making, which generated gains for $43 and $1, respectively. These effects were recognized in results of each year within cost of sales.

Commencement date	Position	Contracts Number	Maturity	Fair value
Figures at December 31, 2007				
November 2007	Long	93	March 2008	$ 5
December 2007	Long	75	March 2008	(1)
				$ 4
Figures at December 31, 2006				
December 2006	Long	103	March 2007	$ 1

10. Employee retirement benefits and workers' compensation

a. Mexico - The Company has pension and death or total disability plans for its management-level employees and a seniority premium plan for all of its employees, which consist of a one-time payment of 12 days for each year worked based on their final salary, not exceeding double the minimum wage established by law for all its personnel, as stipulated in the respective employment contracts. The related liability and annual benefits costs are calculated by an independent actuary in conformity with the bases defined in the plans, using the projected unit credit method.

The present value of these obligations and the rates used in the calculation are as follows:

		2007		2006
Actuarial present value of accumulated benefit obligation	**$**	**(3,658)**	$	(3,397)
Projected benefit obligation	**$**	**(4,498)**	$	(4,186)
Plan assets (fund in trust)		**4,256**		4,192
Funded status		**(242)**		6
Items to be amortized:				
Past service costs and changes to the plan		**(9)**		(10)
Variances in assumptions and adjustments for experience		**349**		300
Transition asset		**(430)**		(457)
Net projected (liability) asset (included in other assets)		**(332)**		(161)
Additional liability		**(12)**		(6)
	$	**(344)**	$	(167)

Net period costs are as follows:

		2007		2006
Cost of services for the year	$	251	$	229
Amortization of transition asset		(29)		(28)
Amortization in past services and changes to the plan, variances in assumptions and adjustments for experience		(2)		1
Cost of financing for the year		187		165
Less – yield on fund assets		(208)		(192)
Net cost of the period	$	199	$	175

The present value of the obligation for termination indemnity, are as follows:

		2007		2006
Actuarial present value of accumulated benefit obligation	$	(293)	$	(290)
Projected benefit obligation	$	(312)	$	(309)
Items to be amortized:				
Past service costs and changes to the plan		(127)		(147)
Variances in assumptions and adjustments for experience		35		(20)
Transition asset		398		421
Net projected (liability) asset (included in other assets)		(6)		(55)
Additional liability		(286)		(236)
	$	(292)	$	(291)

The net period costs are as follows:

		2007		2006
Cost of services for the year	$	38	$	58
Amortization of transition asset		(5)		24
Cost of financing for the year		12		19
Net cost of the period	$	45	$	101

The actual interest rates used in the actuarial calculations were:

	2007	2006
Discount of projected benefit obligation at present value	4.50%	4.50%
Wage increase	1.50%	1.50%
Yield on fund assets	5.00%	5.00%

Unrecognized items are charged to results based on the average remaining service lives of employees expected to receive benefits, which is 30 years.

b. USA - The Company has established defined benefit pension plans ("the Pension Plans") that cover eligible employees. The Company's funding policy is to make discretionary annual contributions. During 2007 and 2006, the Company made contributions to the Pension Plans of $124 and $239, respectively. As of January 1, 2005, certain benefits plans were frozen for certain nonunion employees. The starting date for such calculation was December 31, 2005.

The following table sets forth the funded status and amounts recognized for the Pension Plans and the workers' compensation liability in the consolidated balance sheet as of December 31, 2007 and 2006:

		2007		2006
Actuarial present value of accumulated benefit obligation	$	(1,376)	$	(1,604)
Projected benefit obligation	$	(1,631)	$	(1,640)
Plan assets		1,254		1,191
Funded status		(377)		(449)
Unamortized actuarial loss and cost of past services, net		537		558
Net projected asset (liability)		160		109
Additional liability		(282)		(522)
		(122)		(413)
Workers' compensation		(341)		(288)
Employee retirement benefits and workers' compensation	$	(463)	$	(701)

Net pension cost includes the following components:

		2007		2006
Cost of services for the year	$	53	$	49
Cost of financing for the year		45		33
Expected return on plan assets		(55)		(45)
Net loss recognition		25		20
Net pension cost	$	68	$	57

Following is a summary of significant actuarial assumptions used:

	2007	2006
Weighted average discount rates	3.11%	2.89%
Rates of increase in compensation levels	1.00%	1.18%
Expected long-term rate of return on assets	4.57%	4.84%

c. Other countries - At December 31, 2007 and 2006, the liability from employee retirement benefits in other countries is not significant.

11. Stockholders' equity

a. At December 31, 2007, stockholders' equity consists of the following:

	Number of shares	Par value	Restatement / translation effect	Total
Fixed capital				
Series "A"	1,175,800,000	$ 1,902	$ 6,104	$ 8,006
Series "B"	–	–	–	–
Total shares	1,175,800,000	$ 1,902	$ 6,104	$ 8,006
Reserve for repurchase of shares		600	159	759
Retained earnings		14,479	13,515	27,994
Other items of the accumulated comprehensive income (loss)		(276)	(6,265)	(6,541)
Initial cumulative deferred income taxes effect		(1,747)	(650)	(2,397)
Financial instruments		95	–	95
Minority interest		528	53	581
Total		$ 15,581	$ 12,916	$ 28,497

Capital stock is fully subscribed and paid, and represents fixed capital. Variable capital cannot exceed 10 times the amount of minimum fixed capital without right of withdrawal and must be represented by Series "B", ordinary, nominative, no-par shares and/or limited voting, nominative, no-par shares of the Series to be named when they are issued. Limited voting shares cannot represent more than 25% of non-voting capital stock.

b. Dividends paid in 2007 and 2006 were:

Approved at the stockholders' meeting of:	Mexican pesos per share	Par value total	Value at December 31, 2007
April 19, 2007	$ 0.40	$ 470	$ 483
November 23, 2006	$ 0.31	$ 364	$ 384
April 6, 2006	$ 0.31	$ 364	$ 394

c. Retained earnings include the statutory legal reserve. The General Corporate Law requires that at least 5% of net income of the year be transferred to the legal reserve until the reserve equals 20% of capital stock at par value (historical pesos). The legal reserve may be capitalized but may not be distributed unless the entity is dissolved. The legal reserve must be replenished if it is reduced for any reason. At December 31, 2007 and 2006, the legal reserve, in historical pesos, was $500.

d. Stockholders' equity, except restated paid-in capital and tax retained earnings will be subject to income taxes payable by the Company at the rate in effect upon distribution. Any tax paid on such distribution may be credited against annual and estimated income taxes of the year in which the tax on dividends is paid and the following two fiscal years.

e. The balances in the stockholders' equity tax accounts at December 31 are:

		2007		2006
Paid-in capital	$	7,363	$	7,363
Net after-tax income		22,629		19,175
Total	$	29,992	$	26,538

12. Foreign currency balances and transactions

a. At December 31, 2007 and 2006, the foreign currency monetary position in millions of US dollars, for the Mexican entities only, is as follows:

	2007	2006
Current assets	86	134
Liabilities-		
Short term	(13)	(12)
Long term	(125)	(137)
Total liabilities	(138)	(149)
Liability position, net	(52)	(15)
Mexican peso equivalent	$ (565)	$ (163)

b. The Company has significant operations in USA and OLA as indicated in Note 16.

c. The transactions in millions of US dollars, for the Mexican entities only, after to been eliminated the transactions between consolidated subsidiaries, were as follows:

	2007	2006
Export sales (not include $168 and $155, related to exportations to consolidated subsidiaries in 2007 and 2006, respectively)	15	24
Imported purchases	–	87

d. The exchange rates in effect at the dates of the balance sheets and of issuance of these financial statements, respectively, were as follows:

	December 31, 2007	2006	February 14, 2008
Pesos per one US dollar	10.8662	10.8755	10.7509

13. Transactions and balances with related parties

a. Transactions with related parties, carried out in the ordinary course of business, were as follows:

		2007		2006
Expenses-				
Purchases of raw materials and finished products	$	4,808	$	4,009

b. The net balances due to related parties are:

		2007		2006
Beta San Miguel, S. A. de C.V.	$	96	$	110
Efform, S. A. de C.V.		8		11
Frexport, S. A. de C.V.		37		48
Grupo Altex, S. A. de C.V.		200		149
Industrial Molinera Montserrat, S. A. de C.V.		25		22
Industrial Molinera San Vicente de Paul, S. A. de C.V.		15		14
Makymat, S. A. de C.V.		5		6
Ovoplus del Centro, S. A. de C.V.		24		30
Pan-Glo de México, S. de R. L. de C.V.		3		2
Paniplus, S. A. de C.V.		16		20
Proarce, S. A. de C.V.		18		22
Grupo La Moderna, S. A. de C.V.		10		10
Uniformes y Equipo Industrial, S. A. de C.V.		13		12
	$	470	$	456

c. Employee benefits granted to Company key management were as follows:

		2007		2006
Short- and long-term direct benefits	$	219	$	206
Share-based payments		12		38
Severance benefits		358		347

14. Tax environment

Income taxes in Mexico

In accordance with Mexican tax law, the Company is subject to ISR, and through 2007, to IMPAC. ISR is computed taking into consideration the taxable and deductible effects of inflation, such as depreciation calculated on restated asset values. Taxable income is increased or reduced by the effects of inflation on certain monetary assets and liabilities through the inflationary component, which is similar to the gain or loss from monetary position. As of 2007, the tax rate is 28% and in 2006 it was 29%. Due to changes in the tax legislation, effective January 1, 2007, taxpayers who file tax reports and meet certain requirements may obtain a tax credit equivalent to 0.5% or 0.25% of taxable income. For ISR purposes, effective in 2005, cost of sales is deducted instead of inventory purchases. Taxpayers had the option, in 2005, to ratably increase taxable income over a period from 4 to 12 years by the tax basis of inventories as of December 31, 2004, determined in conformity with the respective tax rules, and taking into account inventory turnover. Such inventory was decreased by the undeducted inventory balance according to Rule 106 and tax loss carryforwards. PTU paid is fully deductible.

In 2007, IMPAC was calculated by applying 1.25% to the value of the assets of the year, without deducting any debt amounts. Through 2006, IMPAC was calculated by applying 1.8% on the net average of the majority of restated assets less certain liabilities, including liabilities payable to banks and foreign entities. IMPAC is payable only to the extent that it exceeded ISR payable for the same period.

On October 1, 2007, the Business Flat Tax Law ("LIETU") was enacted and went into effect on January 1, 2008. In addition, the Tax Benefits Decree and the Third Omnibus Tax Bill were published on November 5 and December 31, 2007, respectively, clarifying or expanding the transitory application of the law regarding transactions carried out in 2007 that will have an impact in 2008. IETU applies to the sale of goods, the provision of independent services and the granting of use or enjoyment of goods, according to the terms of the LIETU, less certain authorized deductions. IETU payable is calculated by subtracting certain tax credits from the tax determined. Revenues, as well as deductions and certain tax credits, are determined based on cash flows generated beginning January 1, 2008. LIETU establishes that the IETU rate will be 16.5% in 2008, 17% in 2009, and 17.5% as of 2010. The Asset Tax Law was repealed upon enactment of LIETU; however, under certain circumstances, IMPAC paid in the ten years prior to the year in which ISR is paid, may be refunded, according to the terms of the law. In addition, as opposed to ISR, the parent and its subsidiaries will incur IETU on an individual basis.

Based on its financial projections and according to INIF 8, *Effects of the Business Flat Tax*, the Company determined that four of its subsidiaries will pay ISR in certain fiscal years, while in others, they will pay IETU. Accordingly, the Company calculated both deferred ISR and deferred IETU and recognized the larger of the two liabilities, which was deferred IETU in all cases. The recording of the deferred IETU liability resulted in a charge to income taxes for $114 in the statement of income and cancellation of the deferred ISR liability of $55 it had recognized, by crediting income taxes in the statement of income, and a deferred ISR asset of $17 that is had recognized, by charging income taxes in the statement of income.

In its other subsidiaries, based on its financial projections and according to INIF 8, Effects of the Business Flat Tax, the Company determined that they will basically pay only ISR. Therefore, the enactment of IETU did not have any effects on the financial information for these subsidiaries, since they continue to recognize deferred ISR.

Grupo Bimbo, S.A.B. de C.V. is subject to ISR and, through 2007, IMPAC, together with its Mexican subsidiaries, on a consolidated basis, in the proportion held of the voting stock of its subsidiaries at year-end.

Income taxes in other countries

The foreign subsidiaries calculate income taxes on their individual results, in accordance with the regulations of each country. The subsidiaries in the USA have authorization to file a consolidated income tax return.

The tax rates applicable in other countries where the Company operates and the period in which tax losses may be applied, are as follows:

	Statutory Income Tax Rate (%)		Period of Expiration
	2007	2006	
Austria	**25.0**	25.0	(a)
Argentina	**35.0**	35.0	5
Brazil	(b) **34.0**	(b) 34.0	(c)
Colombia	**35.0**	(d) 35.0	(e)
Costa Rica	**30.0**	30.0	3
Chile	**17.0**	17.0	(f)
China	**33.0**	33.0	5
El Salvador	**25.0**	25.0	(g)
Spain	**35.0**	35.0	15
United States of America	(h) **35.0**	(h) 35.0	20
Guatemala	**31.0**	31.0	(i)
Honduras	**25.0 to 30.0**	25.0 to 30.0	(g)
Hungary	**16.0**	16.0	(f)
Nicaragua	**30.0**	30.0	3 to 4
Paraguay	**10.0**	(k) 10.0	(g)
Peru	**30.0**	30.0	(j)
Czech Republic	**26.0**	26.0	5 to 7
Uruguay	**30.0**	30.0	3
Venezuela	**34.0**	34.0	3

(a) The losses generated after 1990 may be applied indefinitely but can only be offset each year up to an amount equal to 75% of the net taxable profit for the year.

(b) The income tax rate in Brazil is 15%, and above certain amounts an additional 10% may be added, plus corporate benefit charges of 9%, whose calculation base is similar to the statutory income tax rate.

(c) Tax losses may be applied indefinitely, but may only be offset each year up to an amount equivalent to 30% of the net taxable profit for the year.

(d) Includes a surcharge of 10% above the statutory rate to 35%

(e) In Colombia, the tax losses generated prior to December 31, 2002 may be applied over a five-year period, and those losses generated after January 1, 2003 can be applied over an eight-year period, but are limited to 25% of the taxable profit for each year.

(f) No expiration date.

(g) Cannot be applied.

(h) This percentage must be increased by a percentage for state tax, which varies in every state of the US. The weighted statutory rate for the Company in 2007 and 2006 was 38.3%.

(i) In Guatemala, tax losses may only be applied by newly created companies, for which reason this does not apply to the Company's operations.

(j) In Peru, the tax losses generated prior to 2005 can be applied over 4 years beginning on the year in which taxable profit is generated and can be applied 100%; for losses generated beginning in 2006 the company can opt to apply over four years, or over an unlimited term on 50% of the profit in each year.

(k) Operations in Paraguay began in 2007.

Operations in Argentina, Colombia, Guatemala and Nicaragua are subject to minimum payments of income tax or tax measured on assets.

Operations in Brazil are subject to profit sharing payments according to certain rules based on accounting income. During 2007 and 2006, there were no profit sharing payments in that country.

Items comprising the provision, effective rate and deferred effects

a. Taxes on income are as follows:

		2007		2006
ISR:				
Current	$	1,692	$	1,653
Deferred		119		83
	$	1,811	$	1,736
IETU:				
Deferred	$	114	$	–
	$	1,925	$	1,736

b. The reconciliation of the statutory and effective ISR rates expressed as a percentage of income before taxes on income is:

	%	
	2007	2006
Statutory income tax rate in Mexico	28.0	29.0
Inflationary effects	(0.6)	(1.3)
Non deductible expenses and others	3.0	3.7
Difference in tax rates and currency applied by subsidiaries located in various tax jurisdictions	1.2	(0.2)
IETU	2.0	–
Change in the valuation of tax loss carryforwards allowance	(0.7)	0.3
Effective tax rate	32.9	31.5

At December 31, 2007 and 2006, the main items comprising the net deferred income tax (asset) liability are as follows:

		2007		2006
Advances to customers	$	(17)	$	(24)
Allowance for doubtful accounts		(36)		(47)
Inventories		85		118
Property, machinery and equipment and intangibles		2,877		2,344
Other investments		(265)		(29)
Other reserves		(935)		(861)
Tax loss carryforwards		(2,040)		(1,894)
Valuation allowance		580		621
Recoverable tax on assets		(198)		(262)
IETU		114		–
Other items		46		(13)
Total liability (asset), net	$	211	$	(47)

The net deferred income tax asset has not been offset in the accompanying consolidated balance sheet as they result from different taxable entities and tax authorities. Gross amounts are as follows:

		2007		2006
Deferred income tax asset	$	(1,078)	$	(1,305)
Deferred income tax liability		1,289		1,258
Total liability (asset), net	$	211	$	(47)

c. Since the Company's tax losses are mainly derived from its transactions with USA and different countries of the OLA, certain tax losses will not be recoverable before their expiration date. Consequently, the Company has recognized a valuation allowance for part of such tax items.

d. Tax loss carryforwards and recoverable IMPAC for which the deferred ISR asset and prepaid ISR, respectively, can be recovered subject to certain conditions. Tax losses generated in countries for which an expiration date exists will expire from 2007 through 2024, with most expiring as of 2020.

15. Commitments

Guaranties and/or guarantors

a. At December 31, 2007, Grupo Bimbo, S. A. B. de C.V. and certain subsidiary companies have guaranteed bonded issued letters of credit to guarantee commercial obligations and contingent risks related to the labor obligations of certain subsidiaries. The value of such letters of credit, added to those issued to guarantee certain third-party obligations, derived from long-term supply contracts signed by the Company, totals US$83 million, of which a liability of US$34.1 million has already been recorded for employment benefits in the USA.

b. The Company has guaranteed certain contingent obligations of associated companies for the amount of US$23.5 million. Similarly, the Company has issued guarantees for third party obligations derived from the sale of assets in prior years, for the amount of US$14 million.

Leasing commitments

a. The Company has long-term commitments under operating leases, principally for the facilities used to produce, distribute and sell its products. These commitments vary from three to 14 years, with a renewal option of between one and five years. Certain leases require the Company to pay all related expenses, such as taxes, maintenance and insurance for the term of the contracts. The total amount of lease commitments is as follows:

Year		Amount
2008	$	716
2009		460
2010		363
2011		280
2012 and thereafter		625
Total	$	2,444

16. Information by geographical area

The following is the principal data by geographical area in which the Company operates for the years ended December 31, 2007 and 2006:

	2007				
	Mexico	USA	OLA	Consolidation eliminations	Total
Net sales	$ 49,713	$ 16,565	$ 7,600	$ (1,584)	$ 72,294
Income after general expenses	$ 5,892	$ 206	$ 267	$ 43	$ 6,408
Majority net income	$ 3,372	$ 333	$ 89	$ 17	$ 3,811
Depreciation and amortization (excluding amortization of goodwill)	$ 1,558	$ 353	$ 328	$ –	$ 2,239
Income after general expenses, plus depreciation and amortization (EBITDA)	$ 7,450	$ 559	$ 595	$ 43	$ 8,647
Total assets	$ 29,554	$ 11,791	$ 6,524	$ (2,626)	$ 45,243
Total liabilities	$ 16,614	$ 2,069	$ 2,189	$ (4,126)	$ 16,746

	2006				
	Mexico	USA	OLA	Consolidation eliminations	Total
Net sales	$ 46,416	$ 15,826	$ 6,275	$ (1,681)	$ 66,836
Income after general expenses	$ 5,756	$ 239	$ 54	$ 42	$ 6,091
Majority net income	$ 3,289	$ 346	$ 25	$ 21	$ 3,681
Depreciation and amortization (excluding amortization of goodwill)	$ 1,396	$ 346	$ 273	$ –	$ 2,015
Income after general expenses, plus depreciation and amortization (EBITDA)	$ 7,152	$ 585	$ 327	$ 42	$ 8,106
Total assets	$ 30,440	$ 11,131	$ 4,905	$ (2,537)	$ 43,939
Total liabilities	$ 19,362	$ 2,026	$ 1,481	$ (3,896)	$ 18,973

17. New accounting principles

In 2007, the Mexican Board for Research and Development of Financial Information Standards (CINIF) issued the following NIFs and Interpretations of Financial Reporting Standards ("INIF"), which became effective for fiscal years beginning on January 1, 2008:

NIF B-2, Statement of Cash Flows
NIF B-10, Effects of Inflation
NIF B-15, Translation of Foreign Currencies
NIF D-3, Employee Benefits
NIF D-4, Taxes on Income

Some of the significant changes established by these standards are as follows:

- NIF B-2, Statement of Cash Flows. This NIF establishes general rules for the presentation, structure and preparation of a cash flow statement, as well as the disclosures supplementing such statement, which replaces the statement of changes in financial position. NIF B-2 requires that the statement show a company's cash inflows and outflows during the period. Line items should be preferably presented gross. Cash flows from financing activities are now presented below those from investing activities (a departure from the statement of changes in financial position). In addition, NIF B-2 allows entities to determine and present their cash flows from operating activities using either the direct or the indirect method. The Company does not expect significant effects in its financial statements upon the adoption of this new standard.

- NIF B-10, Effects of Inflation. CINIF defines two economic environments: a) inflationary environment, when cumulative inflation of the three preceding years is 26% or more, in which case, the effects of inflation should be recognized using the comprehensive method; and b) non-inflationary environment, when cumulative inflation of the three preceding years is less than 26%, in which case, no inflationary effects should be recognized in the financial statements. Additionally, NIF B-10 eliminates the replacement cost and specific indexation methods for inventories and fixed assets, respectively, and requires that the cumulative gain or loss from holding non-monetary assets be reclassified to retained earnings, if such gain or loss is realized; the gain or loss that is not realized will be maintained in stockholders' equity and charged to current earnings of the period in which the originating item is realized. The main effects of the adoption of this new standard will be that the Company will no longer recognize the following amounts that are included in the consolidated financial statements for 2007:

Description		Amount
Monetary position gain	$	334
Depreciation and amortization		91
Income statement inflation effect		210
Restatement effects for the year included in other comprehensive income		193
Property, machinery and equipment inflation effect		711
Goodwill inflation effect		85
Trademarks and rights of use inflation effects		99

- NIF B-15, Translation of Foreign Currencies. NIF B-15 eliminates classification of integrated foreign operations and foreign entities and incorporates the concepts of accounting currency, functional currency and reporting currency. NIF B-15 establishes the procedures to translate the financial information of a foreign subsidiary: i) from the accounting to the functional currency; and ii) from the functional to the reporting currency, and allows entities to present their financial statements in a reporting currency other than their functional currency. The Company does not expect significant effects in its financial statements upon the adoption of this new standard.

- NIF D-3, Employee Benefits. This NIF includes current and deferred PTU. Deferred PTU should be calculated using the same methodology established in NIF D-4. It also includes the career salary concept and the amortization period of most items is reduced to five years, as follows:

  Items will be amortized over a 5-year period, or less, if employees' remaining labor life is less than the:

  - Beginning balance of the transition liability for severance and retirement benefits
  - Beginning balance of past service cost and changes to the plan
  - Beginning balance of gains and losses from severance benefits, according to actuarial calculations, should be amortized against the results of 2008.
  - Beginning balance of gains and losses from retirement benefits, according to actuarial calculations, should be amortized over a 5-year period (net of the transition liability), with the option to fully amortize such item against the results of 2008.

  At the date of issuance of these consolidated financial statements, the Company has not fully assessed the effects of adopting this new standard on its financial information.

- NIF D-4, Income Taxes. This NIF relocates accounting for current and deferred PTU to NIF D-3, eliminates the permanent difference concept, redefines and incorporates various definitions and requires that the cumulative ISR effect be reclassified to retained earnings, unless it is identified with some of the other comprehensive income items that have not been applied against current earnings. The Company does not expect significant effects in its financial statements upon the adoption of this new standard.

18. Financial statements issuance authorization

The issuance of the consolidated financial statements was authorized by Lic. Daniel Servitje Montull, General Director of the Company on February 14, 2008. These consolidated financial statements are subject to the approval of the General Stockholders' meeting, who may modify the financial statements, based on provisions set forth by the General Corporate Law.

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